RECEIVED
JUN 23 2026
LA Public Service Commission

BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE:		
APPLICATION OF CLECO	)	
POWER LLC FOR: (1)	)	
IMPLEMENTATION OF	)	
CHANGES IN RATES TO BE	)	**DOCKET NO. U-_____**
EFFECTIVE JULY 1, 2027;	)	
(2) NEW 2027 FORMULA RATE	)	
PLAN; AND (3) EXPEDITED	)	
TREATMENT	)	

DIRECT TESTIMONY

OF

CHRISTINA C. MCDOWELL

ON BEHALF OF

CLECO POWER LLC

JUNE 22, 2026

EXHIBITS

EXHIBIT NO.	DESCRIPTION
Exhibit CCM-1	List of Testimony
Exhibit CCM-2	Order No. U-36923, issued July 17, 2024
Exhibit CCM-3	Proposed Service Quality Plan (SQP)
Exhibit CCM-4	2027 FRP Filing & Rate Update Timeline
Exhibit CCM-5	2027 IICR Rate Filing
Exhibit CCM-6	October 31, 2025 Monitoring Report
Exhibit CCM-7	Letter to LDEQ Regarding Rodemacher 2
Exhibit CCM-8	LDEQ Letter Approving Cleco Power's Request for Extensions for Rodemacher 2
Exhibit CCM-9	Revenue Requirement
Exhibit CCM-10	Test Year Rate Base Detail
Exhibit CCM-11	Test Year Rate Expense Detail
Exhibit CCM-12	House Bill 10-Act 11 of 2024

TABLE OF CONTENTS

I. INTRODUCTION AND BACKGROUND 1

II. MATERIAL DEVELOPMENTS SINCE CLECO POWER'S 2024 RATE CASE .. 4

III. CLECO POWER'S 2024 RATE CASE PROCEEDING 16

V. CLECO POWER'S PROPOSED 2027 FRP 22

VI. CLECO POWER'S OPERATING ENVIRONMENT 34

VII. CLECO POWER'S TREATMENT OF EDIT 37

VIII. DEPRECIATION 39

IX. REVENUE REQUIREMENTS 44

X. MODERNIZATION 48

XI. EXECUTIVE COMPENSATION 54

XII. STORM RESERVE REPLENISHMENT 57

XIII. RECOVERY OF MISO DEFINITIVE PLANNING PHASE ("DPP") COSTS 60

XIV. TEST YEAR 65

XV. TEST YEAR RATE BASE DETAIL 66

XVI. TEST YEAR EXPENSE DETAIL 73

XVII. IMPLEMENTATION 86

I. INTRODUCTION AND BACKGROUND

Q1: PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A: My name is Christina C. McDowell. I am the Director – Regulatory Filings of Cleco Power LLC ("Cleco Power" or the "Company"). My business address is 2030 Donahue Ferry Road, Pineville, Louisiana, 71360.

Q2: PLEASE DESCRIBE YOUR JOB RESPONSIBILITIES.

A: I assist with the development of the electric rates applicable throughout Cleco Power's service area and ensure that the electric rates are developed and implemented on a just and reasonable basis. In that capacity, I assist with the preparation of revenue requirements and avoided costs. I also coordinate and ensure the timely and accurate filing of certain periodic compliance filings at the Louisiana Public Service Commission ("LPSC" or the "Commission").

Q3: PLEASE DESCRIBE YOUR PROFESSIONAL AND EDUCATIONAL HISTORY.

A: I received a Bachelor of Business Administration degree from Louisiana State University in Baton Rouge, LA in 1997 with a concentration in accounting. In 1998, I accepted a position with Cleco Corporation as an internal auditor. Since then, I have served in various management positions throughout the accounting organization including Back Office Energy Accounting, Financial Reporting, Asset Management, General Ledger, Accounts Payable, Accounts Receivable, and Financial System Support. In 2016, I accepted a position in the Regulatory Department and in 2018 I became Director — Regulatory Filings.

Q4: HAVE YOU PREVIOUSLY PRESENTED TESTIMONY IN A REGULATORY PROCEEDING?

A: Yes. A listing of the proceedings in which I have provided testimony in attached hereto as Exhibit CCM-1.

Q5: WHAT IS THE PURPOSE OF YOUR TESTIMONY IN THIS PROCEEDING?

A: My testimony supports Cleco Power's application in this proceeding. Pursuant to Commission Order No. U-36923, issued July 17, 2024 (the "2024 Rate Order"), in which the Commission authorized an Uncontested Proposed Stipulated Settlement in LPSC Docket No. U-36923,[1] Cleco Power is required to file a full rate case no later than June 30, 2026. Cleco Power's 2024 Rate Case resulted in the Company's current rates, which became effective as of July 1, 2024. As described in further detail in my testimony, below, and in the testimony of Cleco Power's other witnesses in this proceeding, Cleco Power has undergone numerous changes structurally, operationally, and financially since the conclusion of the 2024 Rate Case. This proceeding will, therefore, address in comprehensive detail many aspects of the Company's operations and rates. Further, as discussed in the Direct Testimony of Cleco Power witness William Fontenot in this proceeding, Governor Landry and the Department of Louisiana Economic Development made an official announcement on May 26, 2026, that Applied Digital Corporation is locating a new hyperscale data center in the Company's service area. The Company will be filing an application requesting Commission authorization of the proposed transaction to serve the new data center load, which will include, among other requests, ratemaking proposals specific to the new data center transaction.

[1] *Docket No. U-36923, Cleco Power LLC, ex parte. In re: Request for: I) implementation of change in rates with an effective date of July I, 2024; and 2) extension of existing Formula Rate Plan (the "2024 Rate Case").*

More specifically, my testimony supports Cleco Power's application and ratemaking requests in this proceeding (sometimes referred to herein as the "2027 Rate Case") regarding the following matters:

1. The collection through Cleco Power's Infrastructure and Incremental Cost Recovery Rider ("Rider IICR") of expenses associated with Midcontinent Independent System Operator, Inc. ("MISO") transmission expenses, as charged annually (net of any reimbursements), Distribution Right of Way ("ROW") clearing expenses, Dolet Hills Solar renewable energy project, production operations and maintenance ("O&M") deferral, MISO administrative charges, property tax increases due to the Industrial Tax Exemption Program ("ITEP") exemption roll off, Transmission ROW clearing expenses, and 2027 Rate Case expenses, offset by the Excess Deferred Income Taxes ("EDIT") Make-Whole Credit for the exclusion of the protected EDIT liability balance from rate base, and the interest earned on the restricted cash reserve established in the Dolet Hills Power Station securitization financing[2] for the closure and decommissioning costs associated with the retirement of Dolet Hills Power Station; and

2. Realignment of collection of certain revenue requirements from Rider IICR into base rates for property taxes for the Madison 3 generating unit, currently recovered in Rider IICR, for Cleco Power that increased due to the expiration of the ITEP for the Madison 3 generating unit in 2021(these taxes were included in Rider IICR due to the uncertainty regarding the estimated future taxes at the time of the 2024 Rate Case); and

3. A new formula rate plan (the "2027 FRP") that will replace and supersede the Company's current Third Amended and Restated Formula Rate Plan, which the Commission authorized in its Order resolving the 2024 Rate Case (*i.e.*, the 2024 Rate Order).

Q6: WHAT OTHER SIGNIFICANT TOPICS ARE DISCUSSED IN YOUR TESTIMONY?

A: My testimony will further discuss:

[2] *See Docket No. U-37213, Cleco Power LLC, ex parte. In re: Application of Cleco Power, LLC for (1) Financing Order Authorizing the Securitization Financing of Certain Costs Related to the Dolet Hills Power Station and Associated Mines; (2) Establishment of an Energy Transition Reserve; and (3) Expedited Treatment.*

1. Various current Cleco Power dockets and the status of their respective remaining regulatory processes, especially as they bear upon the 2027 Rate Case;

2. The history of Cleco Power's Formula Rate Plan ("FRP"), and an overview of Cleco Power's proposed 2027 FRP;

3. Requested modifications of certain metrics and other provisions and commitments contained in Cleco Power's current Third Amended and Restated FRP that, if approved by the Commission, would result in a new 2027 FRP; and

4. Treatment of depreciation expenses and recovery of costs associated with the Pineville General Office modernization project, executive compensation, replenishment of the Company's restricted storm reserve, and withdrawal from the MISO Definitive Planning Process.

II. MATERIAL DEVELOPMENTS SINCE CLECO POWER'S 2024 RATE CASE

Q7: PLEASE DESCRIBE THE MATERIAL DEVELOPMENTS THAT HAVE OCCURRED SINCE CLECO POWER'S 2024 RATE CASE.

A: Those material developments include the following, each of which is discussed in turn below: (a) the implementation of the "Energy Transition Charge" authorized in Commission Order No. U-37213, issued November 27, 2024 (see footnote 2, above); (b) Commission authorization of Phase I of a comprehensive grid hardening plan and related rate recovery;[3] (c) implementation of the Commission's Louisiana Energy Efficiency Program ("LEEP") rules;[4] (d) the Company's power purchase agreement with Dolet Hills Solar, LLC, for 240 MW of solar energy, capacity, and associated environmental attributes

[3] *Docket No. U-37479, Cleco Power LLC, ex parte. In re: Application for Authorization of Phase I of the Comprehensive Hardening Plan; (II) Related Rate Recovery; and (III) Expedited Treatment.*

[4] *Docket No. R-31106, Cleco Power LLC, ex parte. In re: Rulemaking to study the possible development of financial incentives for the promotion of energy efficiency by jurisdictional electric and gas utilities.*

(the "Dolet Solar PPA");[5] (e) Cleco Power's Interim Integrated Resource Plan ("IRP") now consolidated with Cleco Power's 2025 IRP Cycle;[6] (f) vegetation management pilot program;[7] (g) the Company's change of control application associated with the potential sale of Cleco Group LLC and its subsidiaries, including Cleco Power, which was filed June 16, 2026 (the "Change of Control Application"); and (h) Cleco Power's forthcoming application for Commission authorization of various items related to an Electric Service Agreement ("ESA") with Applied Digital Corporation to serve a hyperscale data center load (the "Data Center Application").

A. ENERGY TRANSITION CHARGE

Q8: PLEASE DESCRIBE THE ENERGY TRANSITION CHARGE.

A: Cleco Power pursued recovery of costs related to the early retirement of the Dolet Hills Power Station, as well as deferred fuel and other mine-closure expenses, in LPSC Docket No. U-35753. Pursuant to Order No. U-35753-A, issued May 16, 2024, the LPSC approved an Uncontested Proposed Stipulated Settlement, which included the following terms:

- A $40.0 million reduction in the regulatory asset associated with the Dolet Hills Power Station;
- An additional $20.0 million annual refund to Cleco Power's retail customers as a bill credit during the third quarters of 2024, 2025, and 2026, totaling $60.0 million; and

[5] *Docket No. U-36502, Cleco Power LLC, ex parte. In re: Application for Certificate of Public Convenience and Necessity for Cleco Power to enter into a proposed Power Purchase Agreement between Dolet Hills Solar, LLC and Cleco Power and authorization to recover associated charges in rates.*

[6] *Docket No. I-37765, Cleco Power LLC, ex parte. In re: Request to Initiate IRP Process pursuant to General Order 08-28-2024 (R-36262) Corrected.*

[7] *Docket No. R-37773 Cleco Power LLC, ex parte. Vegetation Management Pilot Program.*

- Authorization for securitization financing of $305.0 million of costs associated with the retirement of Dolet Hills Power Station. The settlement further provided that if the securitization financing was not completed by September 1, 2024, Cleco Power was authorized to accrue a carrying charge until the earlier of securitization financing completion or January 31, 2025.

On November 27, 2024, the LPSC issued Order No. U-37213 (the "Dolet Financing Order"), authorizing the issuance of energy transition bonds in an aggregate principal amount up to $305.0 million for the securitization financing of "Energy Transition Property" (as defined in the Dolet Financing Order). Under the Dolet Financing Order, the Energy Transition Property includes the authority to impose, bill, charge, collect, and receive "Energy Transition Charges" (as defined in the Dolet Financing Order) from Cleco Power's retail customers. To facilitate this process, Cleco Securitization II, a special-purpose entity and wholly-owned subsidiary of Cleco Power, was created to issue the energy transition bonds and to remit the proceeds of the sale of the bonds to Cleco Power. On March 12, 2025, in connection with the securitization financing and pursuant to the Dolet Financing Order, a newly funded "Energy Transition Reserve" (as defined in the Dolet Financing Order) was established to recover Dolet Hills Power Station energy transition costs and to address future energy transition expenditures. Any surplus remaining in the reserve after all prudent Dolet Hills Power Station energy transition costs are incurred will be refunded to Cleco Power's retail electric customers through Rider IICR.

Regarding interest earned on the Energy Transition Reserve, Cleco Power established a regulatory liability for interest generated on restricted cash within the reserve. As

stipulated in the Dolet Financing Order, this interest will be refunded to retail customers annually through Rider IICR.

Beginning April 1, 2025, under the servicing agreement executed as part of the securitization financing, Cleco Power as servicing agent commenced servicing the debt represented by the energy transition bonds by billing and collecting a new Energy Transition Charge from its retail customers on behalf of Cleco Securitization II, and subsequently remitting the collected Energy Transition Charge, net of uncollectible sums, to Cleco Securitization II. This Energy Transition Charge will continue to be billed and collected from Cleco Power's retail customers until such time as the energy transition bonds have been retired.

B. PHASE I OF A COMPREHENSIVE HARDENING PLAN AND RATE RECOVERY

Q9: PLEASE DESCRIBE THE PHASE I COMPREHENSIVE HARDENING PLAN AND RATE RECOVERY.

A: Cleco Power is actively engaged in initiatives to harden its transmission and distribution systems in response to increasing threats posed by extreme weather conditions and climate change. These efforts encompass infrastructure hardening projects designed to reinforce or replace critical components within Cleco Power's transmission and distribution systems, utilizing materials engineered to better withstand severe weather events, to minimize or prevent customer outages, and to enable more rapid restoration following such incidents. The Company's 10-year grid resiliency plan identifies approximately 1,400 projects with an estimated total investment of $510.0 million. In December 2024, Cleco Power submitted an application to the LPSC in Docket No. U-37479 seeking approval for Phase

I of the plan, which initially comprised 781 projects valued at $257.6 million to be executed over five years. On November 3, 2025, Cleco Power and the LPSC Staff filed an Uncontested Proposed Stipulated Settlement, adjusting the proposed investment to approximately $200.0 million. The settlement received Commission authorization pursuant to Order No. U-37479, issued December 16, 2025.

Effective January 1, 2026, Cleco Power commenced revenue collection under the LPSC-approved Grid Resiliency Rate Rider. This mechanism allows for timely recovery of prudently incurred costs related to Phase I of the grid resiliency plan, subject to semi-annual true-ups and prudence reviews conducted by the LPSC. The Company anticipates that expenses associated with Phase I, as well as those arising from future phases of the grid resiliency plan, will continue to be recovered through this mechanism.

C. LOUISIANA ENERGY EFFICIENCY PROGRAM RULES

Q10: PLEASE DESCRIBE THE EVOLUTION OF ENERGY EFFICIENCY FROM THE QUICK START PHASE TO LOUISIANA ENERGY EFFICIENCY PROGRAM.

A: In August 2025, the Commission approved LEEP in Docket No. R-31106.[8] The current Energy Efficiency Program was established as a four-year program with the original framework remaining intact from the previous Quick Start program, but with some important adjustments. Those adjustments include: (i) defining customers that are exempted from participating in and paying for the program, which includes customers served at 69kV voltage and above and/or those customers previously exempted from the Quick Start Phase and wishing to remain exempt; (ii) eliminating the prior cap on monthly

[8] The Commission subsequently issued General Order No. 01-08-2026 (R-31106), which amended its August 28, 2025, General Order and which supersedes all prior Commission General Orders related to energy efficiency.

charges; and (iii) an update to the source for establishing an annual Energy Efficiency budget. The source for establishing each utility's annual program budget went from using 2012 FERC Form 1 revenues to using 2023 FERC Form 1 revenues, coupled with an annual budget cap of 1% that is to be adjusted annually, with a maximum budget cap at the end of the four-year program set at 1.5% of the utility's 2023 FERC Form 1 revenues.

Q11: DID THE LPSC CHANGE HOW CLECO POWER IS ALLOWED TO ADDRESS LOST CONTRIBUTIONS TO FIXED COSTS ("LCFC") AS PART OF ITS LEEP RULES?

A: Yes. The Commission's LEEP rules allowed the utilities to continue to address LCFC in conjunction with their respective FRP mechanisms. However, the Commission's LEEP rules added language to address what will occur with annual earnings tests in relation to utility FRP deadbands that are set relative to the utility's mid-point allowed return on equity ("ROE") values.

Q12: HOW DOES CLECO POWER CURRENTLY ADDRESS LCFC?

A: Currently, Cleco Power's base rates do not reset annually when the test year earnings are evaluated under the current FRP structure via the Company's annual earnings Monitoring Report (as hereinafter defined), which is filed every October 31 for the prior twelve months ending ("TME") June 30. Because the Company's base rates are not reset each year, the Company's calculated LCFC amounts associated with its Energy Efficiency Program compounds annually between rate case proceedings. Thus, LCFC amounts included in the Company's Energy Efficiency Rider are only reset when base rates are reset. For Cleco Power, this occurs after each rate case, which takes place every three to four years

depending on the term of the FRP. This contrasts with other LPSC-jurisdictional utilities who have FRPs permitting annual base rate resets.

Q13: HOW WOULD CLECO POWER ADDRESS LCFC ASSOCIATED WITH ENERGY EFFICIENCY DURING LEEP IN THE PROPOSED 2027 FRP?

A: Implementing the proposed 2027 FRP, as discussed later in my testimony, will impact Cleco Power's calculations for LCFC under the LEEP rules due to the introduction of a new Rider FRP, which I also discuss further below. Similar to how other LPSC-jurisdictional utility FRPs operate, the Company's proposed Rider FRP will reset customer base rates annually in accordance with the Company's annual earnings test. If the Company's proposed 2027 FRP is approved by the Commission, this change will result in the discontinuation of the compounding of LCFC; instead, the Company's Energy Efficiency Rider would only include one (1) year of LCFC. The one year of LCFC would represent the prospective base rate savings realized by customers for the current program year. Under Rider FRP, rates potentially would be reset annually depending on the results of the annual earnings test, thereby reflecting the actual savings on a going-forward basis and mitigating regulatory recovery lag. Accordingly, the proposed Rider FRP would capture the prospective recovery of LCFC.

D. RENEWABLE ENERGY AND ELECTRIFICATION INITIATIVES

Q14: PLEASE DESCRIBE CLECO POWER'S RENEWABLE ENERGY AND ELECTRIFICATION INITIATIVES.

A: On February 23, 2024, Cleco Power executed the Dolet Solar PPA to purchase, among other things, the energy, capacity, and associated environmental attributes from a 240 MW solar electric generation facility currently under construction. This facility is being

constructed in DeSoto Parish, Louisiana and will be owned by Dolet Hills Solar, LLC. The LPSC authorized the Dolet Solar PPA pursuant to Order No. U-36502, issued October 8, 2024, including approval of $2.1 million in recoverable development costs incurred by the Company. The LPSC further approved Cleco Power's recovery of future expenditures related to constructing, owning, operating, and maintaining the necessary transmission line to deliver energy generated by the new solar facility into Cleco Power's transmission system. Cleco Power anticipates receiving energy from the new solar facility by late 2026. At that point, Cleco Power will have the ability to provide customers with renewable energy under a new rate schedule called Green Option Cleco or "GO Cleco." Under the GO Cleco rate schedule, customers can subscribe to a specified amount of renewable energy from the Dolet Hills Solar facility to help meet their environmental and sustainability goals.

In addition, Cleco Power continues to pursue the potential expansion of its renewable resources and battery storage capabilities as part of efforts to diversify its generation portfolio. On April 4, 2025, the Company issued a formal request for proposals ("RFP") to obtain up to approximately 500 MW of renewable energy and 150 MW of battery storage, consistent with the action plan in Cleco Power's Final IRP in LPSC Docket I-36175. The RFP process concluded in November 2025; however, no proposals were selected for further negotiations and potential certification, because none of the evaluated proposals provided pricing competitive enough to be added to Cleco Power's resource portfolio. The Independent Monitor agreed with the evaluation conclusions drawn by Cleco Power to come to this decision.

Furthermore, Cleco Power is advancing electrification initiatives for its customers, which include projects such as electrifying natural gas compression operations, facilitating investments in electric charging infrastructure, and assisting customers with the deployment of electric vehicle charging stations, among other opportunities.

E. CLECO POWER'S INTERIM IRP AND THE 2025 IRP CYCLE

Q15: PLEASE DESCRIBE CLECO POWER'S INTERIM IRP.

A: The 2024 Rate Order directed Cleco Power to initiate an updated IRP process designed to facilitate a comprehensive evaluation of potential planning options for the Madison 3 generating unit. On September 5, 2025, Cleco Power filed an Interim IRP in accordance with Section (E)(3)(iii) of the 2024 Rate Order and pursuant to Paragraph 11 of the General Order (Corrected) dated August 28, 2024 (R-36262) (the "IRP General Order"), which was docketed in Docket No. I-37725.

Q16: PLEASE DESCRIBE CLECO POWER'S 2025 IRP CYLE.

A: On October 30, 2025, Cleco Power filed its Request to Initiate the 2025 IRP Cycle pursuant to the IRP General Order, which was docketed in Docket No. I-37765. On March 25, 2026, Cleco Power and Commission Staff submitted a letter to the Commission noting that the Company, Commission Staff, and the intervening parties had agreed that Docket Nos. I-37725 (Cleco Power's Interim IRP) and I-37765 (Cleco Power's 2025 IRP Cycle) would be consolidated and that, going forward, all IRP-related data and planning matters would be addressed solely in Docket No. I-37765. Cleco Power remains committed to evaluating alternative solutions to address its long-term resource requirements and is actively engaging customers to assess interest in prospective renewable energy offerings. Insights

gained from these discussions, along with market dynamics and regulatory considerations, will inform ongoing refinements to Cleco Power's resource planning strategy.

To facilitate sharing of relevant information and data, the Company set up a 2025 IRP Cycle landing page on its website.[9] Cleco Power also filed its data assumptions in Docket No. I-37765 on February 26, 2026, and held a stakeholder meeting on March 23, 2026, to answer questions and solicit feedback. The Company anticipates filing its draft IRP Report to the Commission on or about October 29, 2026.

F. VEGETATION MANAGEMENT PILOT PROGRAM

Q17: PLEASE DESCRIBE THE VEGETATION MANAGEMENT PILOT PROGRAM.

A: In 2024, Cleco Power determined that increased vegetation management efforts were necessary to maintain the reliability of its distribution system. As a result, Cleco Power increased its Distribution ROW expenses, primarily due to expanded vegetation management activities, rising contractor costs, and recent weather-related factors, including excessive heat, near-drought conditions, and wildfires.

The Company has transitioned from a reactive, budget-driven approach to a proactive, data-driven, cycle-based vegetation management program operating on a five- to seven-year cycle. This transition is intended to enhance system reliability and safety while achieving greater long-term cost efficiency.

In November of 2025, the LPSC initiated a rulemaking in Docket No. R-37773 to establish a vegetation management pilot program, primarily focused on distribution systems. The pilot program is scheduled to operate for a 33-month period, after which its effectiveness

[9] *See* https://www.cleco.com/about/regulatory/integrated-resource-plan/irp2025.

will be evaluated. Program expenditures are capped at no more than 1% of the total annual bill of an average residential customer using 1,200 kWh per month, based on 2025 bills. Although Cleco Power's increased vegetation management expenditures predated the Commission's rulemaking, they are largely consistent with the enhanced activity and recovery framework contemplated by the vegetation management pilot program. Accordingly, the Company seeks to continue recovering $22.6 million in vegetation management costs through Rider IICR and does not propose to participate in the pilot program.

G. CHANGE OF CONTROL

Q18: PLEASE DESCRIBE THE APPLICATION CLECO POWER HAS FILED FOR CHANGE OF CONTROL OF CLECO GROUP LLC.

A: Cleco Corporate Holdings LLC and Cleco Power are subsidiaries of Cleco Group LLC ("Cleco Group"), which in turn is a wholly-owned subsidiary of Cleco Partners L.P. Effective as of April 24, 2026, Cleco Partners L.P. entered into an Equity Purchase Agreement (the "Purchase Agreement") with Pine JV Holdings, LLC (the "Buyer"). The Buyer is a Delaware limited liability company whose members are affiliates of Stonepeak Partners, LLC and Bernhard Capital Partners. Pursuant to the Purchase Agreement, and subject to the terms and conditions set forth therein, the Buyer has agreed to acquire all outstanding equity interests of Cleco Group from Cleco Partners L.P. (the "Transaction"). Cleco Group is currently privately held and is expected to remain privately held following consummation of the Transaction under the new ownership. Completion of the Transaction is subject to customary closing conditions, including, among others, receipt of all required regulatory approvals, including approval from the LPSC; the expiration or termination of

applicable waiting periods under the Hart-Scott-Rodino Antitrust Improvements Act of 1976, as amended; and other customary conditions.

Cleco Power filed an application with the LPSC on June 16, 2026, requesting authorization of the Transaction, pursuant to the LPSC General Order dated March 19, 1994, which requires utilities subject to the Commission's jurisdiction to obtain approval or non-opposition prior to any sale, lease, merger, stock transfer, or change in control.

Q19: WILL THE PENDING CHANGE OF CONTROL OF CLECO GROUP LLC HAVE ANY IMPACT UPON CLECO POWER'S RATES OR PROVISION OF RELIABLE SERVICE?

A: No.

H. NEW LARGE LOAD CUSTOMER

Q20: PLEASE DESCRIBE THE PLANNED APPLICATION CLECO POWER INTENDS TO SUBMIT SEEKING LPSC APPROVAL TO SERVE A NEW LARGE LOAD CUSTOMER.

A: As described above, in April 2026, Cleco Power executed an ESA with Applied Digital Corporation, which became public with Governor Landry and the Department of Louisiana Economic Development officially announcing the project on May 26, 2026.[10] The new load, totaling approximately 430 MW, will be located in Rapides Parish, Louisiana, with service expected to commence in May 2027.

Cleco Power anticipates initiating a certification proceeding pursuant to the Lightning Initiative Directive, as well as other applicable Commission General Orders and rules, and

[10] *See* https://www.opportunitylouisiana.gov/news/central-louisiana-secures-3-6-billion-applied-digital-ai-factory-campus.

expects to file an application with the Commission on or before July 1, 2026. As I noted earlier, that proceeding will incorporate requested ratemaking treatment and other requests and proposals that may have implications as those matters relate to this application.

III. CLECO POWER'S 2024 RATE CASE PROCEEDING

Q21: WHAT ARE THE MAIN FEATURES OF CLECO POWER'S 2024 RATE CASE PROCEEDING?

A: Pursuant to the 2024 Rate Order, the Commission authorized an Uncontested Proposed Stipulated Settlement that resolved all issues in the determination of Cleco Power's retail base revenue requirements for rates collected in accordance with rate schedules established for the Company's various customer classes, as well as revenues eligible to be collected utilizing the Rider IICR mechanism. Those rates and charges were calculated based on a historical test year that began July 1, 2021, and ended June 30, 2022, with known and measurable pro forma adjustments reflective of the first year of new rates and charges that went into effect beginning July 1, 2024, and ending June 30, 2025.

Major features of the settlement authorized pursuant to the 2024 Rate Order included the following:

a. Target ROE of 9.7%; a capital structure for ratemaking purposes of 52% equity and 48% debt; and a refund mechanism that provided for the sharing of overearnings with retail customers, should Cleco Power's actual ROE exceed specified thresholds.

b. Continued return to ratepayer of Protected EDIT (resulting from the Tax Cut and Jobs Act of 2017 or "TCJA") based on the Average Rate Assumption Method ("ARAM").

c. Identification of items eligible for recovery through Rider IICR.

d. Exclusion of both executive incentive compensation and Cleco Power's 2013-2015 costs of modernization of its Pineville corporate office campus.

e. Crediting of shared information technology costs related to Cleco Cajun LLC's ("Cleco Cajun") utilization of the Strategic Alignment and Real-Time Transformation ("START") platform through Rider IICR.

g. Rates set such that Cleco Power has the opportunity to collect retail revenues in the amount of $733.7 million, beginning July 1, 2024.

h. Mechanisms to ensure that Cleco Power vegetation management commitments are accomplished and assuring no recovery of costs if vegetation management is not completed.

i. Expansion of Cleco Power's Alternative Rate for Electricity ("CARE") Rider, which provides a 25% discount on the fuel portion of qualifying low-income residential customers' bills, from a three-month period (July-September) to all billing months. This expansion increased program participation to 22,756 customers and provided approximately $1.95 million in total bill assistance.

A copy of the 2024 Rate Order (including the Uncontested Proposed Stipulated Settlement) is attached to my testimony as Exhibit CCM-2. The Company has complied with the other stipulations specified in the order, including the development of a proposed Service Quality Plan ("SQP"), which is attached to my testimony as Exhibit CCM-3. Cleco Power's original SQP, which was authorized pursuant to the Merger Order (as hereinafter defined), has expired by its terms, but Cleco Power nonetheless continues to comply with the provisions and requirements of the SQP, including the reporting requirements specified therein. Cleco Power is requesting Commission authorization of the proposed SQP.

IV. HISTORY OF CLECO POWER'S FRP

Q22: PLEASE DESCRIBE THE HISTORY OF CLECO POWER'S FRP.

A: Cleco Power's FRP was first authorized by LPSC Order No. U-30689, issued October 28, 2010 (the "2010 Rate Order"). Paragraph 21 of the 2010 Rate Order states that "[t]he initial term of the FRP shall be four years, subject to extension upon authorization of the Commission." Pursuant to the terms and conditions of the Proposed Uncontested Stipulated Settlement in Docket No. U-30689, which was authorized and adopted by the Commission in the 2010 Rate Order (see ordering paragraph 1 of the 2010 Rate Order at p. 19) and was attached to the 2010 Rate Order, the rates authorized by the 2010 Rate Order became effective upon the in-service date of Cleco Power's Rodemacher Unit 3 generating unit (now known as "Madison 3"). Madison 3 was declared substantially complete February 11, 2010; Cleco Power assumed care, custody, and control of Madison 3 on February 12, 2010, and Madison 3 entered commercial operation on that date. Accordingly, the initial term of Cleco Power's FRP first became effective on February 12, 2010. Cleco Power filed an application with the Commission to renew its FRP for an additional term on April 19, 2013, in Docket No. U-32779. Cleco Power eventually reached a settlement in Docket No. U-32779, which the Commission approved, thereby extending, with some modifications, Cleco Power's FRP, for an additional term (the "Amended and Restated FRP"), with a new base rate case required to be filed by June 30, 2017. Order No. U-33434-A issued April 7, 2016 (the "Merger Order") extended Cleco Power's Amended and Restated FRP by an additional two years, with a full rate case to be filed by June 30, 2019, pursuant to regulatory commitment No. 4 (see Attachment A to the Merger Order).

On June 30, 2019, Cleco Power filed an application with the Commission in accordance with the requirements of the Merger Order, requesting authorization for a change in Cleco Power's base rates and the extension of the Company's Amended and Restated FRP. That application was docketed as LPSC Docket No. U-35299. Cleco Power eventually reached a settlement in Docket No. U-35299, which the Commission approved pursuant to Order No. U-35299, issued June 22, 2021. In that order, the Commission approved Cleco Power's Second Amended and Restated FRP, which, among other things, extended the term of the Company's then-current FRP for an additional term of three years. Order No. U-35299 required that Cleco Power file a new base rate case by March 31, 2023; however, this was subsequently extended to June 30, 2023, pursuant to Order No. U-35299-A, issued July 5, 2023.

On June 30, 2023, Cleco Power filed an application with the Commission requesting authorization for a change in Cleco Power's base rates and the extension of the Company's Second Amended and Restated FRP. That application was docketed as LPSC Docket No. U-36923. Cleco Power eventually reached a settlement in Docket No. U-36923, which the Commission approved pursuant to the 2024 Rate Order. In that order, the Commission approved Cleco Power's Third Amended and Restated FRP, which, among other things, extended the term of the Company's then-current FRP for an additional term of three years. As noted earlier in my testimony, the 2024 Rate Order requires that Cleco Power file a new base rate case by June 30, 2026.

Q23: PLEASE DESCRIBE THE MAJOR COMPONENTS OF CLECO POWER'S THIRD AMENDED AND RESTATED FRP.

A: Cleco Power's Third Amended and Restated FRP is asymmetrical with respect to the risk that Cleco Power may not achieve its target ROE. If Cleco Power exceeds its target ROE (as specified in the Third Amended and Restated FRP), there are earnings sharing bands that could potentially result, and have in the past resulted, in the sharing of a portion of earnings with Cleco Power's customers in the form of a one-time refund. On the other hand, if Cleco Power earns less than its authorized target ROE, there is no feature in the Third Amended and Restated FRP that would enable Cleco Power to recover additional revenues from its customers for the Company to meet its target ROE. Hence, the Third Amended and Restated FRP is asymmetrical regarding this risk. The Third Amended and Restated FRP utilizes a capital structure for ratemaking purposes of 52% equity and 48% debt. The target ROE is specified at 9.7%. The debt return is calculated as the weighted-average cost of long-term debt as of the end of the applicable rate year, and short-term debt is based on a twelve-month average. The income tax rate was the combined federal and state rate, less Investment Tax Credit ("ITC"). Under the Third Amended and Restated FRP, earnings up to 10.3% are retained by Cleco Power. Earnings over 10.3%, but less than or equal to 10.9%, are shared, with 60% being refunded to customers and with 40% being retained by Cleco Power. The entirety of any earnings in excess of 10.9% are refunded to Cleco Power's customers. These are the earnings sharing bands referenced above.

Q24: PLEASE DISCUSS THE REQUIRED ANNUAL EARNINGS MONITORING PROVISIONS OF THE THIRD AMENDED AND RESTATED FRP.

A: The Third Amended and Restated FRP contains provisions requiring annual review of Cleco Power's earnings, and for determining whether any refunds are due to Cleco Power's

customers for the pertinent review period. Cleco Power files an earnings monitoring report each October, for the immediately prior TME June 30 test year (the "Monitoring Report"). A docket is then opened by the Commission, and the LPSC Staff conducts an audit of Cleco Power's rate year. Depending upon the outcome of the LPSC Staff's audit, refunds may be due to Cleco Power's customers.

Cleco Power's annual Monitoring Report filings made pursuant to the Third Amended and Restated FRP are extensively examined by both internal Staff and Commission-hired outside financial consultants, after which Staff's report is reviewed by any intervenors. This thorough review, performed each year, provides ample opportunity for the Commission to gauge the results of, and adherence to, the requirements of the Third Amended and Restated FRP.

Q25: ARE THERE OTHER SPECIFIC PROVISIONS OF THE THIRD AMENDED AND RESTATED FRP WHICH SHOULD BE REAFFIRMED OR OTHERWISE ADDRESSED IN THIS PROCEEDING?

A: Yes. Cleco Power notes that in each of its prior four rate cases, the historical test year was adjusted for the known and measurable impacts (pro forma adjustments) of various expenses and rate base changes in order to moderate regulatory lag, as rates and charges are determined based on a TME June 30 test year.

Q26: PLEASE DESCRIBE THE RIDER IICR MECHANISM IN THE THIRD AMENDED AND RESTATED FRP.

A: Cleco Power's Third Amended and Restated FRP contains a Rider IICR mechanism that utilizes the rate schedule titled Rider IICR. Various provisions of the Third Amended and Restated FRP provide that prudently-incurred costs of Commission-approved projects may

be recovered through a single line item on customers' bills identified as Infrastructure & Incremental Cost Recovery. The costs recoverable under this provision are subject to change once per rate year (effective July 1). Also, true-ups to the actual recoverable costs under the provision are made annually. Costs otherwise approved for recovery under this provision commencing after July 1 of a rate year are to be accrued by Cleco Power and deferred for future recovery. If costs eligible for recovery pursuant to this provision cease to be incurred after July 1 of each rate year, those amounts in rates are recorded as a regulatory liability to be returned to customers commencing the subsequent July 1. Various components of costs and credits that Cleco Power proposes to include in Rider IICR in this 2027 Rate Case are discussed later in my testimony.

V. CLECO POWER'S PROPOSED 2027 FRP

Q27: IS CLECO POWER SEEKING TO EXTEND AND CONTINUE ITS THIRD AMENDED AND RESTATED FRP IN ITS PRESENT FORM?

A: No. Cleco Power is requesting Commission approval for the 2027 FRP that builds on the current FRP framework but with certain modifications as described below, as well as in the Direct Testimony of Company witness D. Andrew Owens. The proposed 2027 FRP would become effective at the same time as the new base rates authorized in this proceeding, which is expected to be July 1, 2027, and the new 2027 FRP would have a four-year term.

Q28: WHAT IS CLECO POWER PROPOSING IN THE 2027 FRP?

A: As discussed in greater detail in the Direct Testimony of D. Andrew Owens, Cleco Power is proposing a new FRP mechanism, with an associated new Rider FRP, that would continue to use the same TME June 30 test year that is currently used for the Company's Monitoring Report. The results of this annual earnings test will be reviewed in the

Company's Monitoring Report that is filed October 31 each year. Under the Company's proposed timeline, the Commission Staff and any intervenors will have 90 days to review Cleco Power's Monitoring Report results, which will include the result of the proposed earnings test. Depending on the result of the earnings test (*i.e.*, whether Cleco Power over- or under-earned relative to the deadbands around Cleco Power's target mid-point ROE), Cleco Power would adjust its FRP rates via its new Rider FRP (subject to refund) with the first billing cycle in the following February. Please see Exhibit CCM-4, which describes the timeline of future rate effective dates along with planned filings for the 2027 FRP.

Q29: IN GENERAL, WHAT ARE THE CHANGES AND MODIFICATIONS THAT CLECO POWER IS REQUESTING FOR ITS 2027 FRP?

A: In general, Cleco Power is requesting the following changes and modifications:

- A new Rider FRP rate schedule, which could result in either a decrease or an increase in going-forward revenues, depending upon the outcome of the annual earnings test similar to other LPSC-jurisdictional utilities;
- Change to a symmetrical earnings test featuring a +/-30 basis points deadband around the requested midpoint 10.7% target ROE to determine whether a rate change is warranted, with a reset to either the upper or lower deadband when, and if, a rate change is triggered based upon the annual earnings test;
- Discontinuation of the residential revenue decoupling mechanism that was implemented on a two-year pilot basis in the 2024 Rate Case;
- Discontinuation of the shared information technology costs related to Cleco Cajun's utilization of the START platform through Rider IICR as a result of the Cleco Cajun divesture, which closed on June 1, 2024;

- Discontinuation of recovery associated with the Louisiana State Corporate Franchise Tax;
- Discontinuation of the Wholesale Exclusion Credit;
- Certain modifications to the Rider IICR provisions of the 2027 FRP; and
- A four-year term for the 2027 FRP, beginning July 1, 2027, and for its new rates to be approved by the Commission and put into effect July 1, 2027.

Each of the foregoing requests is described in detail below.

Q30: WHAT IS CLECO POWER'S PROPOSED CAPITAL STRUCTURE FOR RATEMAKING PURPOSES FOR THE 2027 FRP?

A: Cleco Power is proposing to maintain its current capital structure for ratemaking purposes of 52% equity and 48% debt.

A. PROPOSED RIDER FRP

Q31: IS CLECO POWER PROPOSING A NEW RATE SCHEDULE AS PART OF ITS PROPOSED 2027 FRP?

A: Yes. As discussed further in the Direct Testimonies of Company witnesses Austin Finn and D. Andrew Owens, Cleco Power is proposing a new rate schedule, Rider FRP, to capture the results of the annual earnings test along with other adjustments included in the 2027 FRP, in particular a proposed new Additional Capacity Cost Recovery ("ACCR") mechanism. If approved by the Commission, these proposed new FRP features included in the 2027 FRP could require Cleco Power to make an FRP rate change each year on February 1 to reflect the results from its annual earnings test and in other instances (subject to certain provisions) based on costs related to the addition of new generation capacity.

Q32: PLEASE DISCUSS THE COMPANY'S PROPOSED NEW EARNINGS TEST.

A: Based on Cleco Power's proposed target ROE of 10.7%, as supported in the Direct Testimony of Cleco Power witness Dylan W. D'Ascendis, Cleco Power is proposing a symmetrical earnings test featuring a +/- 30 basis points from the mid-point target ROE to determine if a rate change is warranted. Cleco Power's ROE for the TME June 30 will be calculated excluding revenues, rate base, and expenses related to Rider IICR, Storm and Energy Transition Surcredits, Grid Resiliency, EDIT Make-Whole Credit, Green Option Cleco, ACCR (only when applicable), and Energy Efficiency. The Energy Efficiency LCFC will be included in the annual earnings test as required in General Order 01-08-26 (R-31106). If the calculated ROE falls between 10.4% and 11.0%, then no rate change is warranted. If the calculated ROE is below 10.4%, then Cleco Power would adjust its FRP rates upward the following February in order to reset earnings to the lower earnings band of 10.4%. Conversely, if the calculated ROE exceeds 11.0%, Cleco Power would adjust its FRP rates downward to reset earnings to the upper earnings band of 11.0%. Please refer to the Direct Testimony of Company witness D. Andrew Owens for additional detail regarding the earnings test mechanism.

Q33: WHY IS CLECO POWER PROPOSING TO INCLUDE A NEW ACCR MECHANISM IN ITS 2027 FRP?

A: Cleco Power is requesting the ability to seek a timely rate change to reflect the revenue requirement that is associated with additional Commission-approved capacity. Currently, the Third Amended and Restated FRP has general language in Paragraph 14(b) that allows the Company to seek recovery of the revenue requirement for Commission-approved matters. To supplement the current approach, add clarity, and increase transparency, the Company is proposing provisions in the 2027 FRP to address additional capacity that is

necessary to reliably serve customers. The Company is seeing significantly constrained capacity conditions in MISO, and the Company may need to add new generating capacity to reliably meet load growth requirements as well as to address the pending retirements of certain of the Company's generating units. Mr. Owens goes into further detail in his Direct Testimony as to how the ACCR mechanism would operate.

B. RIDER IICR

Q34: WHAT MAJOR EXPENDITURES AND PROJECTS ARE CURRENTLY BEING RECOVERED THROUGH RIDER IICR BY CLECO POWER?

A: Cleco Power's TME June 30, 2025, Rider IICR included recovery of the retail jurisdictional portion of certain revenue requirements, totaling $22.6 million. This amount increased to $74.1 million for the TME June 30, 2026, test year as the result of higher expenses and prior period true-ups primarily related to Distribution ROW, MISO Transmission (Northlake), the START Make-Whole Credit, and inclusion of the Dolet Hills carrying charge, offset by the pilot residential decoupling program. The following table summarizes the revenue requirements recovered through Rider IICR for the TME June 30, 2025, and 2026, respectively.

TABLE CCM-2

Line	(a)	(b)	(c)	(d)
	In millions			
	TME June 30,	**2025**	**2026**	**Change**
1	Distribution Right of Way	$ 11,053	$ 30,892	$ 19,839
2	MISO Transmission (Northlake)	$ 12,600	$ 23,351	$ 10,751
3	Dolet Hills Carrying Charge	$ -	$ 10,284	$ 10,284
4	START Make-Whole (Credit)/Charge	$ (4,323)	$ 2,743	$ 7,066
5	EDIT Make-Whole Credit	$ (16,410)	$ (11,636)	$ 4,774
6	Madison 3 Property Tax	$ 8,599	$ 12,531	$ 3,932
7	Wholesale Exclusion Credit	$ (3,238)	$ (177)	$ 3,061
8	Prop tax for exemption roll off	$ -	$ 758	$ 758
9	Interest Earned on Dolet Hills Decommissioning Restricted Cash	$ -	$ (49)	$ (49)
10	Transmission Right of Way	$ 1,201	$ 929	$ (272)
11	2024 Rate Case Amortization	$ 717	$ 276	$ (441)
12	MISO Administrative Costs	$ 5,719	$ 5,108	$ (611)
13	Louisiana State Corporate Franchise Tax	$ 1,899	$ 963	$ (936)
14	Residential Decoupling Credit	$ -	$ (3,000)	$ (3,000)
15	Production O&M Deferral	$ 4,816	$ 1,147	$ (3,669)
16	**Total**	**$ 22,633**	**$ 74,120**	**$ 51,487**

Q35: ARE THERE ANY PROPOSED CHANGES TO THE ITEMS RECOVERED THROUGH RIDER IICR?

A: Yes. The START Make-Whole Credit will be removed as a result of the divesture of Cleco Cajun. The START Make-Whole Credit was related to the portion of information technology costs allocated to Cleco Cajun for which the retail customers received credit. The Dolet Hills carrying charge will be removed now that the securitization financing has been completed. This was a one-time recovery mechanism that was authorized in LPSC Order No. U-35753 as part of the Dolet Hills securitization process. The Louisiana State Corporate franchise tax will be removed, as the Louisiana Legislature repealed the

corporate franchise tax for periods beginning on or after January 1, 2026. As discussed further in the Direct Testimony of Company witness Austin Finn, Cleco Power is proposing to end the pilot program for residential decoupling, as it will no longer be necessary given the Company's proposed FRP earnings test. Cleco Power is requesting that the Madison 3 property tax component be removed from Rider IICR and be included in base revenues. The current three-year amortization of the 2024 Rate Case expenses will be complete; however, it will be replaced with the estimated 2027 Rate Case expenses, for which Cleco Power is proposing a four-year amortization. The Dolet Hills Solar facility project is expected to be completed by late 2026, with production of energy under the Commission-approved Dolet Hills Solar PPA expected shortly thereafter. The portion of the revenue requirement specified in LPSC Order No. U-36502 related to the solar capacity costs, Transmission Tie Line, and development costs will be included in Rider IICR beginning July 1, 2027.

Q36: WHAT EXPENDITURES AND/OR NEW INFRASTRUCTURE PROJECTS DOES CLECO POWER ANTICIPATE INCLUDING IN RIDER IICR BEYOND WHAT YOU JUST DESCRIBED?

A: Cleco Power is proposing to collect certain other items through Rider IICR, as approved by the Commission. The items Cleco Power proposes to collect under Rider IICR are each discussed in further detail below (and can be seen in Exhibit CCM-5, IICR Rate Filing for July 2027):

1. MISO transmission expense - Northlake (currently estimated to be $21.9 million). The MISO transmission costs that are billed to Cleco Power fluctuate, and as such Cleco

Power requests to continue to recover them in Rider IICR, subject to annual true-up (Included in calculation of current Rider IICR rates).

2. ROW Clearing (currently estimated to be $1.6 million for transmission and $22.6 million for distribution). Due to the need to maintain the ROW consistent with a four-to-six-year vegetation management cycle and to remain in compliance with the SQP implemented pursuant to the Merger Order, Cleco Power requests that these expenses continue to be included in Rider IICR subject to annual true-ups (Included in calculation of current Rider IICR rates).

3. Dolet Hills Solar PPA costs (currently estimated to be $14.6 million). As discussed earlier, the Dolet Hills Solar facility project is expected to be completed and in service by late 2026. The amount payable by Cleco Power under the Dolet Hills Solar PPA for the period September 2026 through June 2027 will be deferred and collected beginning July 1, 2027. There are four components of the Dolet Hills Solar PPA that may be included in Rider IICR as authorized by the Commission in Order No. U-36502: Transmission Tie Line; development costs; capacity costs; and carrying costs. The Commission authorized Cleco Power to establish a regulatory asset for the amount of cost reimbursed by Cleco Power to Dolet Hills Solar, LLC under the Dolet Hills Solar PPA related to the Transmission Tie Line, to be recovered over a 25-year amortization period corresponding to the term of the Dolet Hills Solar PPA, initially utilizing the Rider IICR mechanism of Cleco Power's Third Amended and Restated Formula Rate Plan. The Commission further authorized Cleco Power to establish a regulatory asset of $2.1 million for the Company's development costs, to be amortized over the 25-year term of the Dolet Hills Solar PPA and collected through Rider IICR. Cleco Power was

further authorized to collect 25% of the monthly Dolet Hills Solar PPA contract payments through Rider IICR as capacity recovery. Cleco Power requests Commission authorization to update this amount before Rider IICR is implemented on July 1, 2027, to account for any GO CLECO Rider subscription credits, as these have not been determined.

4. Production O&M Deferral, as described in Paragraph a.6 of the settlement authorized by the 2010 Rate Order (currently estimated to be $7.9 million using a $28.6 million threshold), with a regulatory cap of $30.0 million, and discussed in detail below (Included in calculation of current Rider IICR rates).
5. Certain MISO Administrative costs, charges, and credits (currently estimated at $6.3 million annually). Order No. U-32839, issued December 13, 2013, states in part "[f]or periods after June 30, 2014, Cleco Power should recover such charges and credits through Rider FRP, or otherwise through base rates...." (Section III(b), p. 5) (Included in calculation of current Rider IICR rates).
6. Property taxes for ITEP roll off (currently estimated to be $1.1 million). Beginning in July 2025, in accordance with the 2024 Rate Order, the property tax increase attributable to the property tax ITEP roll-off was included in Rider IICR (Included in calculation of current Rider IICR rates).
7. Regulatory expenses associated with this proceeding (estimated at $0.6 million annually). The 2027 Rate Case expense will be deferred to a regulatory asset and recovered over the four-year term of the 2027 FRP (Included in calculation of current Rider IICR rates).

8. EDIT Make-Whole Credit (currently estimated to be $14.6 million). The EDIT Make-Whole Credit provides the return on the 13-month average EDIT balance that has not been credited on customer bills. Cleco Power proposes to exclude the full amount of the EDIT liability balance from rate base, and instead provide customers an equivalent benefit until such time as the EDIT liability reaches zero (Included in calculation of current Rider IICR rates).

9. Interest earned on Dolet Hills Restricted Cash (currently estimated to be $0.7 million credit). Beginning May 31, 2025, and each year thereafter, pursuant to Order No. U-37213, Cleco Power must calculate the interest earned net of tax payable on the Dolet Hills Restricted Cash account. The amount shall be credited to customers annually utilizing Cleco Power's Rider IICR (Included in calculation of current Rider IICR rates).

10. Future Capital Projects (Not included in calculation of current Rider IICR rates).

    a. Incremental transmission projects approved by the LPSC and/or MISO: the Rosepine Substation Project is a Base Reliability Project ("BRP") identified through the MISO planning process and was approved by the MISO Board of Directors on December 7, 2023. The project addresses identified transmission reliability issues in the Rosepine-Deridder area. The project includes construction of a new 230 kV substation, which will be tapped into the existing Leesville-Cooper 138 kV transmission line approximately 11.5 miles from Leesville. In addition, the project includes construction of a new 3.4-mile transmission line between Rosepine and Deridder. The substation and transmission line will be energized at 138 kV. The project will address "P6" contingency issues in the area involving the Nelson

to Longville, Cooper to Deridder, or Coughlin to Pine Prairie transmission lines that can result in low-voltage conditions and potential overloads when two of the three lines are out of service. The addition of the fourth transmission line will eliminate the identified "P6" contingency issues and improve overall reliability. The Rosepine Substation project is currently estimated to have a total cost of approximately $35.6 million and is expected to be placed in service during the fourth quarter of 2028.

b. Other projects that may be subsequently approved by the Commission for recovery under Rider IICR. In conjunction with the 2027 FRP, Cleco Power is proposing to include the estimated first year revenue requirement of any transmission reliability project that is approved through the MISO Transmission Expansion Plan ("MTEP") process after completion through the Rider IICR mechanism. If the project is completed before June 15, then Cleco Power is requesting recognition of the revenue requirement with appropriate carrying costs and the establishment of a regulatory asset that would be recovered the following July through Rider IICR over a twelve-month period.

11. Environmental costs that have already been approved by the Commission will continue to be collected in the manner authorized. However, if during the term of the 2027 FRP, a change in laws occur related to environmental issues or environmental compliance that increases the costs to Cleco Power, the recovery of those costs may be requested by the Company outside the 2027 FRP bandwidth.

12. Beginning with the first IICR filing after the in-service date of the project to relocate certain transmission lines at the Slidell Municipal Airport, pursuant to LPSC Special

Order No. 50-2019, issued July 26, 2019, Cleco Power may include the annual revenue requirement for the project, as well as one year of deferred revenue requirement to be collected annually once the project is in service.

Q37: PLEASE DESCRIBE THE PRODUCTION NON-PAYROLL O&M DEFERRAL REFERENCED ABOVE.

A: Paragraph a.6 of the settlement authorized by the 2010 Rate Order established the Production Non-Payroll O&M Deferral, based on an expected normalized level of O&M expenses to be incurred in any given year. The retail portion of any amount incurred in excess of the threshold expense level may be deferred to a regulatory asset, and recovery may be requested in a future rate proceeding. Cleco Power is requesting recovery of such deferred O&M expenses in this proceeding over a three-year period.

In December 2024, Cleco Power's actual non-payroll production O&M expenses totaled $31.7 million. The threshold for these expenses was set at $29.7 million in the 2024 Rate Case, resulting in an excess of $2.0 million. At December 31, 2024, Cleco Power recorded the following:

Debit	Regulatory Asset – Production O&M Deferral	$2.0 million
Credit	– Amortization Expense	$2.0 million

The Regulatory Asset is recovered through the Rider IICR over three (3) years beginning July 1, 2025. Please refer to the table below for the demonstration of the recovery period.

TABLE CCM-3

In thousands

	TME Dec. 31, 2024	TME June 30, 2026	TME June 30, 2027	TME June 30, 2028
1	$ 2,000	$ 667	$ 667	$ 667

Q38: IS CLECO POWER PROPOSING CHANGES TO THE PRODUCTION O&M THRESHOLD AND THE CAP?

A: Yes. As described above, Cleco Power's threshold was set at $29.7 million in the 2024 Rate Case. For the TME June 30, 2025, test year, the Company's total non-payroll production O&M expenses were $30.6 million. Also included for the TME June 30, 2025, test year, is the $2.0 million non-payroll production O&M deferral that was recorded at December 31, 2024, as discussed above. Cleco Power is proposing to reduce the threshold to $28.6 million based on the actual expenses of $30.6 million less the $2.0 million deferral recorded at December 31, 2024.

Cleco Power is also requesting an increase in the deferral cap from $25.0 million to $30.0 million. In other words, Cleco Power's total three-year deferral would not be permitted to exceed the $30.0 million cap, and the Company would continue to collect the deferral balance over a three-year period.

Q39: WHAT IS THE TOTAL RIDER IICR REVENUE CLECO POWER IS REQUESTING FOR TME JUNE 30, 2028?

A: The total requested Rider IICR revenue as detailed above is $61.3 million for TME June 30, 2028, which is a slight reduction from the amount currently reflected in Rider IICR. Please refer to Exhibit CCM-5.

VI. CLECO POWER'S OPERATING ENVIRONMENT

Q40: WHAT HAVE BEEN THE MAJOR RESULTS OF THE CLECO POWER THIRD AMENDED AND RESTATED FRP?

A: Cleco Power continues to file its annual earnings Monitoring Report on October 31 each year. Pursuant to the Third Amended and Restated FRP, Cleco Power filed an annual

earnings Monitoring Report for the TME June 30, 2025, test year on October 31, 2025. Please see Exhibit CCM-6. Please note that the October 2025 Monitoring Report was the first instance in recent years in which the Company actually earned its allowed ROE for the prior test year. Prior to the most recent test year, the Company has consistently earned below its LPSC-approved target ROE. Cleco Power will file annual earnings Monitoring Reports for the TME June 30, 2026, and the TME June 30, 2027. On May 29, 2026, the LPSC Staff issued its Final Report on the Company's Monitoring Report for the TME June 30, 2025, test year in LPSC Docket No. U-37776. Apart from an issue raised by LPSC Staff relating to Distribution ROW vegetation management expenses, LPSC Staff's Final Report did not indicate that Cleco Power's Monitoring Report for the TME June 30, 2025, test year deviated from the requirements of the Third Amended and Restated FRP. Regarding the issue of Distribution ROW vegetation management expenses, the LPSC Staff Final Report states that:

> Cleco has provided documentation sufficient to support the reasonableness of the test-year spend. And, importantly, the level of test-year spending is within the spirit of the recovery framework R-37773 subsequently established for incremental vegetation management spending.... To the extent Cleco contends that its vegetation management program merits recovery above the 1% bill impact ceiling, Cleco may seek such relief from the Commission. (LPSC Staff Report at p. 14)

Cleco Power will be requesting the aforesaid relief from the Commission in LPSC Docket No. U-37776.

Q41: THE REALIZED ROE INCREASED FOR THE TME JUNE 30, 2025, TEST YEAR VERSUS THE TME JUNE 30, 2024, TEST YEAR. DOES CLECO POWER EXPECT TO ACHIEVE ITS TARGET 9.7% ROE FOR THE TME JUNE 30, 2026, AND THE TME JUNE 30, 2027, TEST YEARS?

A: No. Based on Cleco Power's historical financials, the Company anticipates a decline, mainly due to forecasted increases in operating expenses, which primarily include property taxes and higher depreciation expense as capital projects are placed in service and rate base increases accordingly.

Q42: BASED ON RECENT AND FORECASTED RESULTS, WOULD YOU AGREE THAT THE SETTLEMENT AUTHORIZED BY THE 2024 RATE ORDER HAS BEEN IN THE PUBLIC INTEREST, AND RESULTED IN JUST, REASONABLE, AND NOT UNDULY DISCRIMINATORY RATES?

A: Generally, yes. Cleco Power's realized ROE for the TME June 30, 2025 was higher than the LPSC approved target ROE of 9.7%, primarily due to increase in sales due to weather conditions, periods of higher demand related to the performance of customer-side generation resources at industrial facilities, and the realization of customer load growth from the Company's electrification initiatives. During the TME June 30, 2025, Cleco Power's service area experienced higher than normal degree days impacting the usage levels of residential and general service secondary level non-residential customers, thereby increasing volumetric (kilowatt-hour, or "kWh") sales. The Company also saw several existing industrial facilities use more electricity due to customer-specific behind the meter generation management and fluctuations in customer load. Additionally, the Company's electrification initiative has successfully captured some revenue growth. Growth of electricity sales has helped offset some of the decline in usage (as well as permanent closures) from existing customers, which helps the Company manage customer affordability and mitigates some of the rate impacts that would otherwise have occurred. However, as noted above, the Company had not previously earned its authorized target

ROE prior to the most recent test year and also anticipates its future earnings to decrease for the TME June 30, 2026, and the TME June 30, 2027, due to higher rate base and expenses (including property taxes and depreciation). Thus, a rate adjustment is required to ensure that Cleco Power has the opportunity to earn a fair ROE.

In addition to the proposed 2027 FRP and the features that I discuss above and that are discussed further by other Company witnesses, Cleco Power is requesting that the Commission revisit two previous items for which the Commission denied recovery. The first such item will be discussed later in my testimony, and relates to building renovations and related improvements made at the Company's corporate headquarters that were completed approximately 10 years ago. The second such item is discussed in the Direct Testimony of Mr. Owens and relates to executive incentive compensation.

VII. CLECO POWER'S TREATMENT OF EDIT

Q43: PLEASE DESCRIBE THE HISTORICAL TREATMENT OF THE BALANCES OF ACCUMULATED DEFERRED INCOME TAXES ("ADIT") AND EXCESS DEFERRED INCOME TAXES ("EDIT") IN CLECO POWER'S RATEMAKING AS APPROVED BY THE COMMISSION.

A: ADIT is a deferred tax liability to the U.S Internal Revenue Service ("IRS") and effectively acts as a source of funding from the IRS for capital projects, rather than from debt or equity investors. Deferred income tax treatment allows customers to benefit from current investments without requiring equity or debt funding, and revenue changes do not affect the ADIT balance.

With the implementation of the TCJA, some ADIT was determined to be non-payable due to changes in federal tax rates; this amount is called EDIT. Companies that were not

regulated utilities could use the gain from EDIT for their own purposes, while Cleco Power, as subject to LPSC jurisdiction and rate setting authority, had to provide its customers with an annual bill credit of approximately $36.9 million over three years, as required by Order No. U-35299, reflecting the flowback of both the protected and unprotected EDIT.

Q44: IS THE REMITTANCE OF THE EDIT AMOUNTS A REDUCTION IN REVENUE REQUIREMENTS?

A: No. Crediting customer bills for the value of the EDIT balance does not reduce the revenue requirement for Cleco Power. It does, however, impact cash flow, as is the case with any other investment. Once the payment of the bill credits for EDIT is complete, Cleco Power's revenue requirements will neither increase nor decrease relative to the cash payment (bill credit) of the EDIT liabilities.

Q45: WHAT IS CLECO POWER'S PROPOSAL FOR CONTINUING TO REMIT THE PROTECTED PORTIONS OF EDIT TO CUSTOMERS?

A: The remittance of the protected portion of EDIT is governed by the IRS' normalization rules. As to the protected portion of EDIT, Cleco Power proposes to credit revenues collected through customer bills in an amount equal to the annual amortization that would have been permitted in order to stay in compliance with IRS normalization rules. Cleco Power anticipates the annual amount of this cash credit to customer bills to be $5.2 million for the rate year July 1, 2027, through June 30, 2028, and the remaining balance will be credited to customer bills over the remaining average life of Cleco Power's plant in service. Cleco Power will continue to credit customer bills for the protected portion of EDIT using a separate line item, until such time the EDIT balances are fully remitted.

VIII. DEPRECIATION

Q46: HAS CLECO POWER CONDUCTED A DEPRECIATION STUDY?

A: Yes. As described in detail in the Direct Testimony of Cleco Power Witness Samuel S. Kennedy, a depreciation study was completed for Cleco Power by the Alliance Consulting Group ("Alliance"), using depreciation data of the Company as of January 1, 2025. This depreciation study excluded the Rodemacher 2 generation assets, as the recovery of Rodemacher 2 costs will be requested outside of the depreciation study. The 2025 depreciation study indicated the need for an overall increase of approximately $35.7 million to annual depreciation. The increase is primarily driven by production assets, notably Madison 3, with decreases in some of the transmission and other production accounts. Please see the table below for the breakdown of depreciation expense between the related asset categories.

TABLE CCM-4

	(a)	(b)		(c)
Line	**Asset Category**	**Increase/Decrease**		**Amount ($ per annum)**
1	Production	Increase	$	34,286,712
2	Other Production	Decrease	$	(829,274)
3	Transmission	Decrease	$	(7,815,203)
4	Distribution	Increase	$	6,978,642
5	General Plant	Increase	$	3,116,094
6	**Total**	**Increase**	**$**	**35,736,971**

Q47: WHAT DID CLECO POWER REQUEST IN THE 2024 RATE CASE RELATED TO DEPRECIATION RATES?

A: A depreciation study was last conducted in 2021, which indicated the need for an overall increase of $23.1 million to annual depreciation. In the 2024 Rate Case, Cleco Power recognized the need to maintain customer affordability but also realized the potential for

unrecovered costs should the Company continue to forego increases related to depreciation. Therefore, the Company requested a partial increase in depreciation in the 2024 Rate Case proceeding versus what was recommended and proposed to address the need for increased depreciation rates in its next filed rate case. The partial increase was attributed to the mismatch of current depreciation rates and the current estimated remaining useful life of Rodemacher 2 located at the Brame Energy Center in Rapides Parish.

Q48: WHAT WAS THE DRIVER OF THE ACCELERATED DEPRECIATION RATES AND CHANGE TO THE ESTIMATED USEFUL LIFE OF RODEMACHER 2?

A: Rodemacher 2 is subject to the U.S. Environmental Protection Agency's ("EPA") Coal Combustion Residuals ("CCR") Rule finalized in 2020, which governs coal ash disposal. Due to CCR Rule requirements, the plant's useful life expectancy was changed to end in 2028, because the CCR Rule mandated closure of the plant's fly ash and bottom ash impoundments. Without the U.S. EPA's CCR Rule, operation of Rodemacher 2 could have continued beyond 2028. This planned early retirement resulted in accelerated depreciation of the plant, which is being deferred as a regulatory asset rather than recovered from customers. As of December 31, 2025, this regulatory asset has a balance of approximately $35.7 million, and the balance is projected to reach $53.0 million by 2028. Note that in February 2026, the U.S. EPA issued a proposed rule to extend the CCR Rule compliance deadline to October 17, 2031, which expressly applies to Rodemacher 2; however, that rule has not been finalized at this time and additionally may be subject to court challenges.

Q49: DID THE COMMISSION AUTHORIZE RECOVERY OF THE ACCELERATED DEPRECIATION OF RODEMACHER 2 IN THE 2024 RATE CASE?

A: No. The Commission authorized the recognition of a regulatory asset for the accelerated depreciation expense. However, for ratemaking purposes, the ultimate recovery of this regulatory asset was not approved and was to be addressed in this 2027 Rate Case.

Q50: HAVE THERE BEEN ANY CHANGES TO THE EXPECTED LIFE OF RODEMACHER 2 SINCE THE 2024 RATE CASE?

A: Yes. Rodemacher 2 remains a critical asset to Cleco Power and its co-owners given the significant changes in market dynamics for generating capacity in recent years. On March 2, 2026, Cleco Power, along with the other Rodemacher 2 Joint Owners,[11] submitted an initial request letter to the Louisiana Department of Environmental Quality ("LDEQ") seeking (1) an extension of the December 31, 2025 deadline to transfer out of the 2028 Effluent Limitation Guidelines ("ELG") coal cessation subcategory, pursuant to 40 C.F.R.§ 423.18(d)(2), and (2) an extension of the December 31, 2025 deadline to comply with the generally applicable bottom ash transport water ("BATW") limitations to limit discharges to 10% of the bottom ash system volume, pursuant to 40 C.F.R.§ 423.18(d)(1). Please refer to Exhibit CCM-7. On April 23, 2026, Cleco Power received a letter from the LDEQ indicating no opposition to extending the December 31, 2025, deadline to transfer out of the 2028 ELG coal-cessation subcategory, as well as the December 31, 2025, deadline to comply with the generally applicable BATW limitation requiring discharges to be limited to 10% of the bottom ash system volume. The LDEQ also approved Cleco Power's proposed compliance schedule. The LDEQ approval letter is provided as Exhibit CCM-8. With this approval, Rodemacher 2's useful life could be extended to 2035 with some

[11] The other Joint Owners are the Lafayette Public Power Authority and the Louisiana Energy and Power Authority (together with Cleco Power, the "Joint Owners").

modifications to and capital investments in the unit. Cleco Power and the other Joint Owners of the unit are committed to ensure regulatory alignment, preserve operational flexibility, and provide compliant, cost-effective service for the remainder of Rodemacher 2's useful life while remaining compliant with the ELG regulations and the CCR Rule. In the meantime, the Joint Owners are working towards two potential compliance paths: (1) ceasing coal combustion and converting the unit to natural gas operation by the end of 2028, or alternatively, (2) continuing coal combustion beyond 2028, in which case the two extensions that LDEQ has granted as described above are necessary for continued operations of Rodemacher 2. Either path will require additional capital investments and increased O&M expenditures going forward. Cleco Power anticipates making a separate regulatory filing with the Commission once the decision is determined as to which path the Joint Owners will follow.

Q51: WHAT IS THE PROPOSED RECOVERY METHOD FOR THE RODEMACHER 2 REGULATORY ASSET?

A: Cleco Power proposes to initiate amortization of the regulatory asset over an eight-year period, assuming the unit's life expectancy is extended to 2035, commencing on July 1, 2027. This proposal is contingent upon obtaining final satisfactory environmental approvals from the LDEQ and/or U.S. EPA, as well as from the Commission, should that be required depending on the path chosen by the Joint Owners and the resulting investment that is necessary. Cleco Power will reassess the amortization schedule following a decision regarding whether to cease coal burning and convert the unit to gas-fired generation or to make capital investments to continue coal operation. The Company intends to address

Rodemacher 2 in a separate and distinct regulatory filing should Commission approval be required under one or more applicable General Orders.

Q52: DOES CLECO POWER CURRENTLY HAVE ANY POTENTIAL UNRECOVERED COSTS RESULTING FROM CHANGES TO OTHER EPA RULES?

A: Yes. The Madison 3 generating unit's life expectancy is also being impacted by U.S. EPA rules under Section 111 of the Clean Air Act regarding regulation of greenhouse gas ("GHG") emissions from existing fossil-fuel fired electric steam generating units ("Section 111d GHG Rule"). The Section 111d GHG Rule requires the retirement of the Madison 3 unit by December 31, 2031; provided that if co-firing with natural gas is implemented, operation of the unit until December 31, 2038 would be permitted, and provided further that if the unit is modified with 90% carbon capture technology, operation beyond January 1, 2039 would be permitted. The Company has evaluated the carbon capture option and determined that achieving a satisfactory cost-benefit result was not feasible at the time and accordingly wrote off $11.3 million of expense associated with the Madison 3 FEED study "below the line" on June 30, 2024. To be clear, what I mean by "below the line" is that the Company's customers will not be asked to pay the $11.3 million that was spent to develop the carbon capture option and perform the FEED study. Cleco Power is currently evaluating co-firing with natural gas and if that option is implemented (subject to Commission review and approval if required), Cleco Power would assume a Madison 3 retirement date of December 31, 2038.

Q53: WHAT IS THE COMPANY PROPOSING REGARDING DEPRECIATION IN ORDER TO PREVENT UNRECOVERED COST FOR THE MADISON 3 AND RODEMACHER 2 UNITS?

A: Cleco Power respectfully requests an adjustment to the depreciation rates for Madison 3 in accordance with the findings of the Alliance depreciation study as well as addressing the appropriate depreciation rates for Rodemacher 2. The proposed increase in depreciation expense amounts to $34.9 million ($6.6 million for Rodemacher 2 and $28.3 million for Madison 3), which Cleco Power requests to recover through base rates. This adjustment would facilitate the recovery of the existing regulatory asset balance for Rodemacher 2, ensuring it is fully depreciated by 2035. Additionally, it would enable accelerated depreciation for Madison 3, with full depreciation of the unit by December 31, 2038, which, as noted above, is the current possibility if the Company elects to co-fire with natural gas. Further details and justification regarding the Alliance depreciation study and recommended changes to the rates can be found in the Direct Testimony of Company witness Samuel S. Kennedy.

IX. REVENUE REQUIREMENTS

Q54: PLEASE DESCRIBE CLECO POWER'S PROPOSED LPSC-JURISDICTIONAL BASE REVENUE REQUIREMENT REQUESTED IN THIS PROCEEDING.

A: Please refer to the following table and the accompanying narrative.

TABLE CCM-5

PROPOSED LPSC REVENUE REQUIREMENT
TME June 30, 2028

Line	(a)		(b)
1	Rate Base (LPSC) used for Base Rates	$	3,557,492
2	Debt %		48%
3	Equity %		52%
4	Debt Rate		5.88%
5	Return on Equity %		10.70%
6	Debt Portion of Return (Lines 1 x 2 x 4)	$	100,407
7	Equity Portion of Return (Lines 1 x 3 x 5)	$	197,939
8	ITC Amortization	$	(102)
9	Adj. Equity Portion of Return (Lines 7 + 8)	$	197,837
10	Combined Tax Rate		25.345%
11	Tax Multiplier (1/(1 - Rate))		133.95%
12	Income Taxes (Lines 11 x 9 - 9)	$	67,165
13	O&M Expense	$	245,628
14	Depreciation Expense	$	218,709
15	General Taxes	$	61,679
16	Debt Exp & Interest on Customer Deposits	$	3,540
17	Base Rate Revenue Requirement	**$**	**894,965**
18	Rider IICR	$	61,268
19	TCJA Adjustment	$	(5,172)
20	LPSC Jurisdictional Base Revenue Requirement, Net	**$**	**951,060**

As described in Table CCM-5 above, utilizing the known and measurable pro forma adjustments of rate base and expenses detailed in sections "Test Year Rate Base Detail" and "Expense Detail" below in my testimony, the allocated cost of service supported by the Direct Testimony of Company witness Austin Finn indicates LPSC-jurisdictional customers are responsible for carrying charges on rate base of $3,557.5 million (Line 1 above). Financing 48% of the rate base with debt at a cost of 5.88% indicates base revenue requirements of $100.4 million (Line 6 above). Financing 52% of the rate base with equity

at a cost of 10.7% as supported by Company witness Dylan W. D'Ascendis indicates base revenue requirements of $197.9 million (Line 7 above).

Cleco Power's current combined tax rate is 25.35%, which results in a tax multiplier for the equity portion of carrying charges of 133.95% (1/[1-0.25345]). The income tax portion of revenue requirements is $67.2 million (Line 12 above).

The LPSC-jurisdictional customers' portion of O&M expenses is $245.6 million (Line 13 above), and $218.7 million (Line 14 above) of depreciation expense. General taxes and interest on customer deposits are $61.7 million (Line 15 above) and $3.5 million (Line 16 above), respectively.

The LPSC-jurisdictional customers' portion of Rider IICR is $61.3 million (Line 18 above) offset by $5.2 million (Line 19 above) in TCJA bill credits.

In summary, Cleco Power is requesting that its LPSC-jurisdictional customers' revenue requirement effective July 1, 2027, be set at $951.1 million (Line 20 above).

Q55: WHAT ARE THE OTHER COMPONENTS OF CLECO POWER'S LPSC-JURISDICTIONAL REVENUE REQUIREMENT?

A: Please reference the table below and the immediately following narrative.

TABLE CCM-6

Line	a	b
1	**2024 Rate Case (U-36923)**	$ 756.3
2	Plus Rider IICR Adj.	$ 51.5
3	Plus Base Revenue Adj.	$ 45.6
4	**Subtotal Base & IICR**	$ 853.4
5	Plus EDIT Make-Whole	$ (5.6)
6	Plus Energy Efficiency (R-31106)	$ 21.2
7	Plus Net Storm and Dolet Securitization	$ 42.7
8	Plus Grid Resiliency (U-37479)	$ 2.7
9	Plus Fuel Revenue	$ 347.4
10	**Total Current Revenues**	**$ 1,261.8**
11	**Proposed 2027 Rate Case Requests**	**$ 102.8**
12	**Other Items Adjusted by 2027 FRP**	**$ (3.6)**
13	**Total Proposed Revenues**	**$ 1,361.0**
14	**Proposed Customer Bill Impact**	**7.9%**

Table CCM-6 summarizes Cleco Power's current base rates, Rider IICR changes, fuel revenues, and other items (*e.g.*, energy efficiency programs) and shows how the Company's requested rate increase would translate into the proposed total revenue requirement and an estimated residential customer bill impact. Line 1 shows the existing revenue requirement approved in Cleco Power's 2024 Rate Case, including Rider IICR, of $756.3 million. Line 2 shows Rider IICR changes of $51.5 million that will be collected comparing the TME June 30, 2026, and the TME June 30, 2025. Line 3 shows the additional base rate revenue adjustments of $45.6 million, an adjustment materializing, in large part, from customer growth, which brings total base rates and Rider IICR revenue to $853.4 million on Line 4. Lines 5 through 9 show additional revenue components customers pay outside of base rates and Rider IICR, bringing the total current revenues in Line 10 to $1,261.8 million. The Company's proposed 2027 Rate Case request is an increase of $102.8 million on Line 11.

Line 12 shows the decrease in energy efficiency of $4.0 million mainly due to decrease in LCFC partially offset by $0.4 million decrease in EDIT Make-Whole. If the Commission approves the 2027 FRP, base rates will reset yearly via Rider FRP, eliminating the need to compound the LCFC until the next rate reset. In summary, Cleco Power's total proposed revenues in the 2027 Rate Case is $1,361.0 million (Line 13), including fuel and other non-base revenue riders, which corresponds to an estimated 7.9% customer bill impact (Line 14). For additional details, please see Exhibit CCM-9.

X. MODERNIZATION

Q56: WHEN WAS CLECO POWER'S PINEVILLE CORPORATE GENERAL OFFICE BUILT?

A: Cleco Power's corporate headquarters, the Pineville Corporate General Office (the "PGO"), is located in Pineville, Louisiana at 2030 Donahue Ferry Road, Pineville, LA 71361. The PGO was completed in 1986 and had not undergone any major renovations until the modernization project that began in 2013.

Q57: WHY WAS THE PGO MODERNIZATION PROJECT INITIATED?

A: In late 2012, Cleco Power began a corporate-wide initiative to review its various buildings and facilities to address safety and related factors, including on-going compliance with the Americans with Disabilities Act ("ADA") as well as the changing work environment. At the time, most of Cleco Power's facilities and the associated buildings had been constructed before computer workstations, servers, modern telecommunications, and other electronic equipment became standard in corporate offices. As such, many of the properties that were reviewed had outdated cabling and wiring (among other issues), and required various upgrades to better accommodate the use of telecommunications, computers, and other

electronic office equipment. Further, as the business environment has transitioned from paper-based to electronic records, the need for on-site storage of paper files, maps, and other documents became less important as such items were increasingly digitized. With the reduced need for storage space, Cleco Power's modernization project also created opportunities for consolidation where certain employees were shifted from other locations to the PGO. The modernization initiative also provided "live" back-up support for the 24-hour transmission operations desk. Finally, the PGO modernization project increased the space available to accommodate additional future employees.

Q58: PLEASE DESCRIBE THE TOTAL COST AND SCOPE OF THE PGO MODERNIZATION PROJECT.

A: Cleco Power's total investment in the PGO modernization project was $28.8 million. The PGO modifications totaled $12.7 million, which included new layouts to allow for more employees, reduced need for storage space for paper records, various improvements to ensure the building remained ADA-compliant (*e.g.*, ramps, wider doorways, upgraded bathroom facilities), lighting upgrades in work spaces and stairwells, and a sprinkler system to address the risk of fire. Because of the cost of the renovation, Louisiana's then-current building code required that a sprinkler system be installed. Prior to the start of the project, the building did not have a modern fire sprinkler system, which coupled with the state of the building itself, along with outdated cabling and wiring, put employees at increased risk.

All cubicles were replaced, as many had deteriorated after more than 25 years of use, and some had wiring issues that posed fire hazards. The cost of the new cubicles, along with associated furniture and fixtures, was approximately $6 million.

In conjunction with the wiring upgrades and installation of a sprinkler system, the aging heating, ventilation, and air conditioning ("HVAC") system was replaced with more efficient equipment at an approximate cost of $4 million.

Finally, to accommodate increased staffing at the PGO and to enhance safe access, a new parking garage was constructed at a cost of approximately $6 million, along with improvements to exterior security lighting.

The table below summarizes the major components of the corporate office modernization project and their associated costs.

TABLE CCM-7

Pineville Corporate Office Modernization Project

Component	Cost ($m)
Building Modifications (ADA compliance, sprinklers, wiring ,ets)	$ 12.7
Cubicles, Furniture, and Fixtures	$ 6.0
HVAC Replacement	$ 4.0
Parking Garage Replacement	$ 6.0
Total*	**$ 28.8**

*Values have been rounded so the total is slightly different.

Q59: WHEN WAS THE PGO MODERNIZATION PROJECT COMPLETED?

A: Cleco Power's PGO modernization project was completed in 2015.

Q60: WHAT ADDITIONAL EMPLOYEES WERE MOVED TO THE PGO?

A: The call center that occupied a portion of the Pineville Service Plex located at 3207 Frontage Road in Pineville, Louisiana was relocated to the PGO. Several buildings at the Pineville Service Center located at Cleco Drive in Pineville, Louisiana were closed and employees from the real estate office, distribution operations control room, and Geographical Information System department were relocated to the Pineville Service Plex.

The Transmission Operations Center ("TOC") was also moved from Coughlin Power Station to the PGO allowing TOC to operate from either control site.

Q61: WHEN AND HOW DID THE COMMISSION DENY RECOVERY OF THE PGO MODERNIZATION INVESTMENT?

A: In Order No. U-32779, issued June 27, 2014,[12] the Commission included the following language from the Proposed Uncontested Stipulated Settlement in that docket:

> *"(6) The test year cost of service presented in the Supplemental Testimony does not include*
>
> *(a) Cleco Power's 2013-2015 costs of modernization of its Pineville corporate office campus, and*
>
> *(b) Executive incentive compensation.*
>
> *Future test years under the Amended and Restated FRP approved in this docket shall also not include these costs."*[13]

Q62: DURING THAT PROCEEDING, DID THE COMMISSION STAFF AND/OR ANY INTERVENOR ADDRESS THE PGO MODERNIZATION PROJECT AT ANY TIME IN TESTIMONY PRIOR TO THE PROPOSED UNCONTESTED STIPULATED SETTLEMENT BEING EXECUTED?

A: No.

Q63: WHAT IS YOUR UNDERSTANDING AS TO WHY THE COMMISSION DENIED RECOVERY OF THE ENTIRETY OF THE PGO MODERNIZATION PROJECT COSTS UNDER THE AMENDED AND RESTATED FRP?

---

[12] *Docket No. U-32779, Cleco Power LLC, ex parte. In re. Application of Cleco Power LLC for: (i) Extension of its Formula Rate Plan (FRP), First Authorized by LPSC Order No. U-30689, Issued October 28, 2010; and (ii) Consolidation of Docket No. U-32153 with this Docket.*

[13] LPSC Order No. U-32779 at p. 7.

A: Upon reviewing the circumstances related to the Commission's denial of recovery of the $28.8 million of project costs, it appears that there was dissension between a former Commissioner and the Company's then-CEO, Bruce Williamson, primarily concerning the potential sale of Cleco Corporation. Following an in-person meeting at the PGO during ongoing renovations, the Commissioner expressed his concerns to Staff regarding whether retail customers would be responsible for the costs associated with the PGO modernization project. Notably, there is no record of a review concluding that any aspects of the project were imprudent or unnecessary. The approximate $28.8 million denial of recovery was ultimately incorporated into the stipulated settlement cited above. There is no testimony or public statements providing detailed discussion of this settlement provision, except for a brief reference in Company witness J. Robert Cleghorn's Supplemental Direct Testimony, which indicated that $0.7 million in construction work in progress ("CWIP") for the modernization project had been *"...removed from rate base as Cleco Power has agreed to forego revenue requirements associated with the modernization projects at the PGO campus."*[14]

Q64: BESIDES THE PGO, WERE OTHER CLECO POWER FACILITIES AND BUILDINGS UPGRADED DURING THE SAME GENERAL TIMEFRAME?

A: Yes. Various other Cleco Power facilities and buildings were also upgraded during that same general timeframe and for many of the same reasons that are described above. The buildings' upgrades and modernization work occurred in various phases based on locations and took several years to complete.

[14] Docket No. U-32779, Supplemental Direct Testimony of J. Robert Cleghorn on behalf of Cleco Power LLC, dated March 26, 2014, at p. 37, ln. 17-19.

Q65: WHY IS CLECO POWER REQUESTING THAT THE PGO MODERNIZATION PROJECT COSTS, NET OF ACCUMULATED DEPRECIATION, NOW BE INCLUDED IN RETAIL RATES?

A: First, the PGO modernization project and its various components were necessary to provide a safe and ADA compliant working environment for all Cleco Power employees, allowed for office consolidation, and accommodated future growth. Second, the costs summarized above in Table CCM-7 were prudently incurred. Finally, the expansion of available space increased efficiencies (*e.g.*, from HVAC and other upgrades).

Q66: CLECO POWER AGREED TO FORGO RECOVERY OF THE MODERNIZATION COSTS IN A STIPULATED SETTLEMENT. WHY IS IT IN THE PUBLIC INTEREST TO REVISIT THE MATTER AND ASK THE COMMISSION TO REVERSE ITS DECISION TO DENY RECOVERY?

A: In its Order resolving Docket No. U-32779, the Commission did not make any findings that the PGO office modernization project was unnecessary or that that the costs were imprudent, nor did the LPSC Staff or any other party raise issues of lack of necessity and/or imprudence in testimony or at the hearing related to the stipulated settlement. Given the circumstances and the lack of evidence in the record, I believe it would be in the public interest, and fair to Cleco Power and its owners, for the Commission to consider prospectively modifying the effects of Cleco Power's acquiescence in 2014 to not seek recovery of the costs of the PGO modernization project.

Q67: PLEASE SUMMARIZE CLECO POWER'S REQUEST REGARDING THE PGO MODERNIZATION PROJECT.

A: Cleco Power has excluded the building modernization investment net of ADIT and associated depreciation expenses from its revenue requirement since mid-2014 and will continue to do so through at least June 30, 2027. The undepreciated balance of the PGO modernization project net of ADIT is approximately $16.4 million, meaning the Company has foregone recovery of nearly 45% of its original investment. Cleco Power respectfully requests that the Commission allow the Company to place the estimated $16.4 million undepreciated balance net of ADIT that is remaining in rate base along with allowing the Company to recover an estimated $0.96 million annual depreciation expense in its revenue requirement beginning July 1, 2027, which is when new retail rates are expected to go into effect.

XI. EXECUTIVE COMPENSATION

Q68: WHAT WAS THE ORDER AND LANGUAGE THAT REQUIRED CLECO POWER TO REMOVE EXECUTIVE INCENTIVE COMPENSATION?

A: The 2010 Rate Order stated "(16) Executive incentive compensation for Vice-Presidents and above, executives of Cleco Corporation, and its Board of Directors shall not be utilized for setting rates in this proceeding and shall not be included in subsequent annual FRP filings."[15]

Q69: HOW MUCH WAS THE EXECUTIVE INCENTIVE COMPENSATION IN THE TEST YEAR TME JUNE 30, 2025?

[15] LPSC Order No. U-30689 at p. 12.

A: The TME June 30, 2025, included $12.5 million for executive incentive compensation. This included $4.5 million for the Short-Term Incentive Plan ("STIP") and $8.0 million for the Long-Term Incentive Plan ("LTIP").

Q70: WHAT IS CLECO POWER REQUESTING TO BE RECOVERED IN THE REVENUE REQUIREMENT?

A: Cleco Power is requesting that it be allowed to recover $2.7 million of the non-financial portion of STIP for Vice Presidents and Executive Management Team ("EMT") payments in regulatory expense. This would leave $1.8 million for the financial portion of STIP and $8.0 million for LTIP as the portions of incentive compensation that would be removed for setting base rates. Please refer to the Direct Testimony of Company witness D. Andrew Owens for additional information regarding the Company's requests to recover the non-financial portion of STIP.

Q71: WHAT IS THE STIP AND HOW IS IT MEASURED?

A: STIP is a performance based annual incentive plan that pays out in cash. The metrics that comprise STIP include financial and operational components. The financial component is adjusted earnings before interest, taxes, depreciation, and amortization ("EBITDA") equaling 40% of the total payout. The remaining 60% is broken down into various operational components as follows: safety (10%); generation Equivalent Forced Outage Rate Demand ("EFORd") (6%); generation fleet availability (4%); System Average Interruption Duration Index ("SAIDI") (10%), which measures reliability; customer satisfaction (10%); and various strategic milestone measures tied to individual performance (20%).

Q72: WHY SHOULD CLECO POWER BE ALLOWED TO RECOVER THE EXECUTIVE INCENTIVE COMPENSATION FOR THE NON-FINANCIAL STIP?

A: Cleco Power maintains a market-driven pay philosophy. This is an approach to compensation where an organization sets its pay levels based primarily on what the external labor market is paying for similar roles, skills, and performance. Cleco Power uses competitive market data, benchmarking against peer organizations, to guide base salary ranges, bonus targets, and total rewards.

Cleco Power's executive STIP is directly tied to operational excellence metrics that create measurable value for customers and the system. These metrics reinforce leadership accountability for safety, reliability, customer satisfaction, and operational performance. For example, safety metrics ensure leadership maintains a strong safety culture, emphasizing injury prevention and regulatory compliance. The EFORd and generation fleet availability measures drive generation reliability, reduce forced outages, and support delivery of lower-cost energy. SAIDI promotes distribution reliability and outage reduction, aligning performance with regulatory expectations and customer commitments. Customer satisfaction metrics ensure leadership remains focused on service quality, responsiveness, and trust. Because executive incentive compensation is contingent on achieving these outcomes, it directly aligns leadership decision-making with customer and regulatory priorities. Their annual incentive targets are grounded in competitive market data and therefore remain well within a reasonable and appropriate range. Vice Presidents and EMT members are aligned with company performance expectations as are other

employees at all levels, and as such, the non-financial incentive targets should be recoverable.

XII. STORM RESERVE REPLENISHMENT

Q73: WHY DOES CLECO POWER NEED TO REPLENISH ITS STORM RESERVE?

A: The Cleco Power storm reserve of $50 million that was established in connection with the securitization financing of Hurricane Katrina and Rita storm damage costs in 2008 was sufficient to cover storm-related O&M expenses incurred through 2020. Capitalized costs associated with severe weather events were absorbed into Cleco Power's annual capital budget, which displaced other scheduled investments.

In Cleco Power's most recent securitization financing of storm costs in LPSC Docket No. U-35807,[16] the securitized principal amount included a $100 million funded restricted reserve. However, Staff required (and Cleco Power agreed) that the reserve shall be used to pay for both the O&M expenses and capital costs associated with future storm restoration. The impact of this important change will undoubtedly deplete the reserve sooner than if only storm-related O&M expenses were charged against it. Cleco Power has analyzed total storm costs over the period 2016 through 2025. The average annual storm cost during that period was $46.7 million. The table below demonstrates the past ten years of storm cost from Cleco Power's service area, breaking such costs down into capital costs and O&M expenses.

[16] LPSC Docket No. U-35807, Cleco Power LLC, ex parte. *In re: Application of Cleco Power LLC for Recovery in Rates of Certain Storm Damage Costs Incurred as a Result of Hurricanes Laura, Delta, Zeta and Winter Storms Uri and Viola, Related Securitization Financing and Establishment of a Storm Reserve.*

TABLE CCM-8

$ in millions

Year	Storm Cost	Capital	O&M
2016	$0.36	0.34	0.02
2017	$8.67	6.49	2.18
2018	$0.36	0.19	0.17
2019	$25.47	19.06	6.41
2020	$278.5	186.35	92.21
2021	$102.80	63.02	39.79
2022	$1.16	1.05	0.11
2023	$3.76	3.09	0.67
2024	$40.53	28.07	12.46
2025	$5.20	3.23	1.97
Total	**$466.81**	**$310.89**	**$155.99**

According to the most recent storm securitization filing in Docket U-35807, the storm reserve balance as of December 31, 2025, inclusive of the Company's pending storm withdrawal request, showed an ending balance of $69.4 million. If Cleco Power continues to experience storms in the manner it has over the past 10 years, the storm reserve likely will be depleted long before the securitization charge recovery is complete.

Given the recurring nature of storm related costs and the expanded use of the reserve approved by the Commission, Cleco Power is proposing to replenish the funded restricted storm reserve by $10.0 million on an annual basis. Annual replenishment is intended to extend the life of the reserve, reduce the need for future extraordinary recovery mechanisms, and support rate stability for customers.

Q74: HOW DOES CLECO POWER PROPOSE TO UTILIZE THE REPLENISHMENT MECHANISM?

A: Cleco Power proposes to collect $10.0 million annually from retail customers. The Company further proposes to deposit the amounts collected into the existing funded restricted reserve within sixty (60) days after the end of each calendar quarter. Cleco Power

also proposes to modify the operation of the restricted storm reserve currently required in LPSC Order No U-35807-A, issued April 1, 2022, to only utilize the storm reserve for capital expenditures greater than $10.0 million.

Q75: HOW WOULD THE RECENT APPROVAL OF CLECO POWER'S COMPREHENSIVE GRID HARDENING PLAN HELP MITIGATE FUTURE STORM COSTS?

A: The Commission's recent approval of Cleco Power's Comprehensive Grid Hardening Plan is expected to help mitigate future storm restoration costs by proactively strengthening critical transmission and distribution infrastructure, reducing outage duration, and improving restoration efficiency following severe weather events. As explained in the Direct Testimony of Company witness Jason D. De Stigter in Docket No. U-37479, the Comprehensive Grid Hardening Plan is reasonably projected to reduce storm restoration costs by approximately fourteen percent through targeted system hardening and resilience investments.

Historically, Cleco Power has experienced average annual storm restoration costs of approximately $46.7 million based on actual costs incurred over the 2016 through 2025 period. While storm events remain inherently unpredictable, the combination of Commission-approved grid resilience investments, and the proposed annual replenishment of the funded storm reserve described in my testimony, is intended to materially improve the Company's ability to manage these costs in a more stable and predictable manner.

The proposed $10 million annual replenishment of the storm reserve, when considered alongside the anticipated reduction in storm restoration costs resulting from the Comprehensive Grid Hardening Plan, is expected to help maintain a well-funded reserve

capable of addressing future storm activity, reducing the need for frequent extraordinary recovery mechanisms. In this way, the storm reserve replenishment and the Grid Hardening Plan operate together as complementary components of a comprehensive storm cost management strategy that addresses near-term financial exposure and helps mitigate long-term cost drivers.

XIII. RECOVERY OF MISO DEFINITIVE PLANNING PHASE ("DPP") COSTS

Q76: PLEASE DESCRIBE THE MISO DPP.

A: The MISO DPP is the core study phase within MISO's Generator Interconnection Process and is intended to evaluate the transmission system impacts associated with proposed generation interconnections and to identify any required network upgrades. Under MISO's current streamlined timelines, the DPP is expected to be completed in approximately 373 calendar days from initiation.

The DPP is divided into three sequential phases, each involving progressively more detailed engineering analysis and increasing financial commitments. At the conclusion of each phase, interconnection customers must determine whether to proceed to the next phase or withdraw from the process. The three DPP phases are described below:

- **Phase 1 – System Impact Study ("SIS")**

  Phase 1 consists of a preliminary SIS that evaluates the initial impacts of the proposed project on transmission system reliability. This phase typically takes approximately 140 days, including a 30-day model development period followed by a 90-day study period. At the conclusion of Phase 1, interconnection customers must satisfy a required milestone to proceed to the next phase (Decision Point 1).

- **Phase 2 – Revised SIS and Interconnection Facilities Study ("IFS")**

Phase 2 involves a more refined analysis that incorporates changes resulting from project withdrawals and other updates identified during Phase 1. This phase includes both a revised SIS and an IFS, which are performed in parallel. Phase 2 typically takes approximately 80 days, consisting of a 10-day model update followed by a 45-day study period. At the conclusion of this phase, customers must again decide whether to continue in the process (Decision Point 2).

- **Phase 3 – Final SIS and Network Upgrade Facilities Study ("NUFS")**

  Phase 3 represents the most comprehensive level of review and includes final reliability assessments, along with the development of detailed cost estimates and construction schedules for any required network upgrades. This phase typically takes approximately 135 days to complete.

Throughout the DPP, each successive phase requires increasing levels of financial commitment and project certainty. The DPP's structure is intended to ensure that only viable projects advance, while providing participants defined decision points at which they may withdraw if continued participation is no longer economically justified.

Q77: PLEASE DISCUSS CLECO POWER'S RECENT WITHDRAWAL FROM THE MISO DPP.

A: Cleco Power entered the DPP in accordance with MISO's transmission planning and generator interconnection framework to evaluate potential long-term resource and transmission solutions needed to maintain reliable service in light of its aging generation fleet and anticipated load growth. The Company used the DPP as intended to evaluate the potential costs associated with interconnecting a new generator. After obtaining sufficient information to make an informed decision, Cleco Power elected to withdraw from the DPP

to limit customer exposure to significantly higher future costs, as the overall economics of the project were no longer favorable based on the DPP results. MISO assessed Cleco Power a $4.1 million cost to withdraw. The Company views the cost incurred as prudent and necessary to evaluate the potential interconnection costs for a proposed new generator. Without proceeding with the DPP there was no reasonable way the Company would have had sufficient information to make an informed decision to help protect its customers from even higher costs. In short, incurring MISO's cost to withdraw shielded the Company's customers from significantly higher future costs.

Q78: HOW DOES THE STRUCTURE OF THE MISO DPP SUPPORT CLECO POWER'S DECISION TO WITHDRAW AND ITS REQUEST FOR COST RECOVERY?

A: The structure of the MISO DPP is specifically designed to require incremental decision-making based on progressively more detailed information, with defined off-ramps at each stage of the process. At each decision point, participants evaluate updated engineering analyses, cost estimates, and system impacts before committing additional financial resources.

Cleco Power's decision to withdraw from the DPP was made at one of these established decision points, after the Company had the benefit of more refined study results developed through the DPP process. Those results indicated that proceeding to the next phase would require substantially greater financial commitments for network upgrades and related costs that would not be economically justified for Cleco Power's customers.

Importantly, the DPP framework expressly anticipates and allows for such withdrawals as part of a prudent project-screening process. The cost to withdraw incurred by Cleco Power

is a standard feature of the MISO interconnection study process and reflects cost responsibility for studies and system evaluations performed up to that point. As such, the cost to withdraw represents a necessary and unavoidable cost of obtaining the information required to make an informed and prudent decision.

Cleco Power's participation in the DPP, and its subsequent withdrawal, demonstrates sound utility planning and risk management because:

- The Company utilized the DPP process as intended to evaluate long-term resource and transmission options;
- The decision to withdraw was based on updated and more accurate cost and system impact information;
- Continuing further in the DPP process would have exposed customers to significantly higher costs; and
- The withdrawal avoided a likely uneconomic investment while incurring only a comparatively much smaller, one-time cost to withdraw.

Accordingly, the structure of the DPP supports the Company's position that the cost to withdraw was incurred as part of a prudent planning process undertaken for the benefit of customers. Recovery of these costs is appropriate because they represent reasonable expenditures incurred to evaluate, and ultimately avoid, substantially greater long-term obligations on behalf of retail customers.

Q79: IS THE DPP COST TO WITHDRAW A SHAREHOLDER RISK OR A SPECULATIVE COST THAT SHOULD NOT BE RECOVERED FROM CUSTOMERS?

A: No. The DPP cost to withdraw is neither speculative nor shareholder-driven. Rather, it is a reasonable and necessary expense incurred as part of Cleco Power's obligation to plan for and serve its customers' long-term energy and capacity needs.

First, Cleco Power's participation in the MISO DPP was undertaken to evaluate viable resource and transmission solutions necessary to maintain reliable service in light of the Company's aging generation fleet and anticipated future load growth. These activities are core utility planning functions performed for the direct benefit of customers, not shareholders or, in Cleco Power's case, its owners.

Second, the DPP itself is not speculative in nature. It is a structured, MISO-administered planning framework specifically designed to assess system impacts and identify required network upgrades before interconnection or expansion decisions are made. Participation in the DPP is essential to obtaining the engineering, cost, and reliability information necessary to make informed and prudent investment decisions.

Third, the MISO cost to withdraw does not result from imprudent decision-making. It is a predefined feature of the MISO process that reflects Cleco Power's proportionate share of study costs incurred through the point of withdrawal. These costs are unavoidable once a participant enters the DPP and are necessary to generate the information that ultimately protects customers from significantly larger, uneconomic investments.

Finally, the Commission treating the cost to withdraw as a shareholder or owner risk would discourage prudent utility planning. Denying recovery of reasonable costs incurred to evaluate long-term resource options could incentivize utilities to either:

- Avoid participation in comprehensive planning processes such as the DPP; or
- Proceed with projects despite unfavorable economics to preserve cost recovery.

Either outcome would be contrary to the public interest and could expose customers to higher long-term costs and increased reliability risks.

Accordingly, the DPP cost to withdraw represents a prudent planning-related cost incurred on behalf of customers, and recovery of this cost is consistent with Commission precedent supporting the recovery of reasonable utility planning expenses, even where those efforts ultimately lead to a decision not to proceed.

Q80: HOW DOES CLECO POWER PROPOSE TO RECOVER THE DPP COST TO WITHDRAW?

A: Cleco Power proposes to recover the $4.1 million DPP cost to withdraw through base rates over a four-year period. This approach is reasonable and appropriate because it aligns cost recovery with the period over which customers benefit from the Company's prudent planning efforts, while also mitigating rate impacts.

Spreading recovery over four years avoids abrupt rate increases and promotes a gradual and equitable allocation of costs among customers. Moreover, because these costs were incurred as part of Cleco Power's ongoing obligation to plan for reliable and cost-effective service, recovery through base rates is the most appropriate mechanism for reflecting these planning-related expenses.

This treatment is consistent with Commission ratemaking principles, as it promotes rate stability and ensures that costs incurred on behalf of customers are recovered in a fair and transparent manner.

XIV. TEST YEAR

Q81: WHAT TEST YEAR IS PROPOSED IN THIS PROCEEDING?

A: Cleco Power has utilized a test year that incorporates the historical test year data for the TME June 30, 2025, with a limited number of known and measurable pro forma adjustments projected through the TME June 30, 2028. The test year constructed in this proceeding, with all appropriate pro forma adjustments, is intended to be representative of the first full year that the rates and charges determined in this proceeding will be in effect, which is expected to start July 1, 2027.

XV. TEST YEAR RATE BASE DETAIL

Q82: PLEASE DESCRIBE THE GENERAL CONSTRUCT OF EXHIBIT CCM-10.

A: Line 1 of Exhibit CCM-10 begins with 13-month average rate base numbers developed from Cleco Power's books for the 13 months June 30, 2024, through June 30, 2025, as filed in Cleco Power's Monitoring Report dated October 31, 2025. Cleco Power chose this time period to begin construction of its test year for two primary reasons. First, it is the same time period utilized in Cleco Power's most recently filed Monitoring Report under its Third Amended and Restated FRP. Second, as of the filing date of Cleco Power's application in this proceeding, it is the most recent actual 13-month period available.

The adjustment on Line 2 removes the Production O&M Regulatory Asset and associated ADIT from rate base in the Monitoring Report as it is collected through Rider IICR. The adjustment on Line 3 removes the Madison 3 Property Tax Regulatory Asset and associated ADIT from rate base as this is also collected through Rider IICR. Line 4 demonstrates the test year rate base exclusive of amounts recovered through Rider IICR.

Lines 5 and 6 remove the associated ADIT liability included in the surcredit calculations for Cleco Securitization I LLC (Storm) and Cleco Securitization II LLC (Energy Transition). The adjustment on Line 7 removes Regulatory Assets for the Dolet Regulatory

Assets that were securitized. Line 8 adds the associated Regulatory Assets and associated ADIT related to Madison 3 Property tax that Cleco Power requests to move from Rider IICR and recover in base rates. Lines 9 through 13 add the associated Plant in Service, Accumulated Depreciation, and ADIT related to the Many Area Transmission Capex, the Madison 3 accelerated start-up project, Coughlin Aerator and Water Well, West Covington Substation Capex and Nesbitt Generator Stator Rewind projects, respectively. Line 14 adds associated prepaid cost for the SAP Upgrade. Line 15 adds Pension contributions net of tax to operating reserves. Line 16 adds the associated Plant in Service, Accumulated Depreciation, and ADIT related to the PGO modernization project. Line 17 shows the Adjusted Rate Base that will be used in cost-of-service study developed by the Company and as shown on Exhibit ATF-1 of Cleco Power witness Austin Finn's Direct Testimony. All numbers are truncated at 1/10 of $1 million (unless less than $0.1 million, in which case, additional decimals will be shown) and may be found in the exhibit. Other numbers are explanatory components of the underlined numbers in the exhibit. The columns in Exhibit CCM-10 and Exhibit CCM-11 are the functionalized amounts related to fuel, production, transmission, distribution, customer service, and similar items, which are total Company amounts in the cost of the service study, and, as such, do not and should not tie to schedules indicating similar numbers for the retail portion of the Company's billings and/or expenses.

Q83: PLEASE DESCRIBE LINE 2 REMOVAL OF PRODUCTION O&M DEFERRAL FROM THE TEST YEAR.

A: Cleco Power is demonstrating the removal of the Production O&M Deferral regulatory asset and associated ADIT from its test year, as this is collected through Rider IICR.

Q84: PLEASE DESCRIBE LINE 3 REMOVAL OF MADISON 3 PROPERTY TAX REGULATORY ASSET FROM RATE BASE AND LINE 8 MADISON 3 PROPERTY TAX (FOUR YEAR RECOVERY IN BASE RATES).

A: Line 3 is demonstrating the removal of $11.5 million related to Madison 3 Property Tax regulatory asset, net of ADIT that is being recovered through Rider IICR during the test year. Line 8 represents the inclusion of $11.5 million related to Madison 3 Property Tax regulatory asset, net of ADIT as Cleco Power is proposing to include that item within base rates and amortize it over a four-year period. The Madison 3 Property Tax regulatory asset is accrued monthly in general ledger and is not collected through Rider IICR until the following July after it is paid. Madison 3 property taxes are recovered through Rider IICR as permitted by the Third Amended and Restated FRP due to the property tax exemption (*i.e.*, the ITEP) that expired in 2021, which created uncertainty regarding the estimation of future property taxes. As the Company now has better estimates for the Madison 3 property tax, Cleco Power is requesting to move this from Rider IICR to base rates and to recover the regulatory asset over a four-year period.

Q85: PLEASE DESCRIBE LINE 5 REMOVAL OF STORM ADIT LIABILITY FROM RATE BASE.

A: Line 5 represents the removal of the ADIT amount associated with storm securitization that is refunded back to customers through a separate storm securitization surcredit established pursuant to LPSC Order No. U-35807.

Q86: PLEASE DESCRIBE LINE 6 REMOVAL OF DOLET HILLS ADIT FROM RATE BASE.

A: Line 6 represents the removal of the ADIT amount associated with the Dolet Hills securitization that is refunded back to customers through a separate energy transition surcredit established pursuant to LPSC Order No. U-37213.

Q87: PLEASE DESCRIBE LINE 7 REMOVAL OF DOLET HILLS PLANT AND MINE REGULATORY ASSET.

A: Line 7 demonstrates the removal of the Regulatory Asset for the Dolet Hills Plant and Mine unrecovered cost from rate base, which has been securitized. On October 6, 2020, Cleco Power and Southwestern Electric Power Company filed a joint application with the LPSC requesting authorization to close the Oxbow Mine and to recover the associated costs, and on January 31, 2022, filed a joint application to retire Dolet Hills Power Station and to recover the associated costs (please refer to LPSC Docket No. U-35753). The costs that the Commission authorized for recovery by Cleco Power are specified in Order No. U-35753-A, issued May 16, 2024. On March 12, 2025, Cleco Power completed the securitization financing of the Commission-authorized costs, pursuant to Order No. U-37213.

Q88: PLEASE DESCRIBE THE ADJUSTMENTS MADE ON LINE 9 TO ADD THE MANY AREA TRANSMISSION CAPITAL PROJECT.

A: The Many Area Transmission Capital project included the construction of a new Belmont 2030/138 kV Substation near the 138kV Loring, Many, and Pelican transmission lines, which was placed in-service in June 2025. The adjustment of Line 9 adds the remaining amount to rate base that was not included in the test year 13-month average ending June 2025. The Plant in Service of $32.4 million in Column A is the 13-month average increase in Plant in Service based on project costs of $35.2 million, net of $2.8 million included in

test year 13-month average ending June 2025. The Accumulated Depreciation in Column B of $2.0 million includes the additional accumulated depreciation related to the project representing the 13-month average ending June 2028 amount. The Accumulated Deferred Income Tax in Column L of $1.2 million represents the 13-month average ending June 2028 ADIT. The net rate base increase including the full year amounts for the transmission line is $29.2 million.

Q89: PLEASE DESCRIBE THE ADJUSTMENTS MADE ON LINE 10 FOR THE MADISON 3 ACCELERATED START-UP PROJECT.

A: The Madison 3 accelerated start-up project relates to work performed for Madison 3 in order to decrease the duration of the start-up process, which includes the addition of a Turbine Warming System. This system is being installed to help minimize the duration of the turbine warm-up session required for the thick metal sections of the turbine to reduce the overall start-up time for the unit. This project is expected to be completed by May 2027. Column A for Plant in Service shows the inclusion of $36 million for total capex, Column B for Accumulated Depreciation of $3.5 million for 13-month average ending June 2028, and Column L, Accumulated Deferred Income Taxes of $0.3 million are included for a total of $32.8 million to be included into rate base.

Q90: PLEASE DESCRIBE THE ADJUSTMENTS MADE ON LINE 11 TO ADD THE COUGHLIN AERATOR & WATER WELL.

A: The Coughlin Aerator & Water Well project is being installed to meet LDEQ requirements related to spillway discharge limits. The project consists of the installation of two horizontal water wells for ground water make-up and an aerator system for evaporative cooling in order for Cleco Power to remain compliant with current and future spillway

discharge temperature limits. This project is expected to be completed in November 2026 at a total cost of $10.2 million which is shown in Column A. Column B shows the $0.7 million of Accumulated Depreciation for the 13-month average ending June 2028 and Column L shows the $0.09 million of Accumulated Deferred Income Tax. The total rate base adjustment is $9.4 million.

Q91: PLEASE DESCRIBE THE ADJUSTMENTS MADE ON LINE 12 TO ADD THE WEST COVINGTON SUBSTATION CAPITAL PROJECT.

A: The West Covington Substation Capital project supports the current and growing load in St. Tammany Parish. The project involves a new 230/34.5kV substation in the West Covington area along with the purchase and installation of a new 83 MVA 230/34.5kV transformer. To continue with the current distribution grid, a "cut-in" on the existing Madisonville to Ramsay 230kV line and the building of a 35.4kV line will connect into the current system. This project is expected to be in service in mid-2027. Line 12, Column A represents the $29.8 million project cost. Column B shows the $0.4 million Accumulated Depreciation for the 13-month average ending June 2028 and Column L shows the $0.2 million of Accumulated Deferred Income Tax. The total rate base adjustment is $29.2 million.

Q92: PLEASE DESCRIBE THE ADJUSTMENT MADE ON LINE 13 TO ADD NESBITT GENERATOR STATOR REWIND.

A: The Nesbitt generator stator rewind project relates to Nesbitt's Fall 2026 major outage on the steam turbine generator. The generator stator is original to the unit and has not been rewound. Due to its age and condition, the stator needs to be replaced. The project will include a stator bar rewind with new copper bars and the replacement of connecting rings.

The total cost of this project is $16.1 million and is expected to be completed by December 2026. The pro forma is being adjusted to include $14.2 million, net of accumulated depreciation and accumulated deferred income tax related to Nesbitt generator stator rewind.

Q93: PLEASE DESCRIBE THE ADJUSTMENT MADE ON LINE 14 TO ADD THE SAP UPGRADE.

A: Line 14 represents the addition of $24.7 million into rate base for the SAP Software Upgrade. The SAP upgrade is expected to be completed by June 2026 and is approximately $31.2 million. This project will help ensure that Cleco Power maintains current, supported systems required for ongoing utility operations and customer satisfaction, which is discussed further in the Direct Testimony of Company witness Brian Walker. As the SAP upgrade involves moving to the cloud, it will not be capitalized but instead will be recorded as a prepayment as more fully discussed in the Direct Testimony of Company witness Samuel S. Kennedy. The total rate base adjustment requested is $24.7 million, which represents the 13-month average ending June 2028 of $27.1 million, net of $2.4 million of amortization.

Q94: PLEASE DESCRIBE THE ADJUSTMENT MADE ON LINE 15 TO ADD PENSION CONTRIBUTIONS.

A: Line 15 represents the addition of $19.8 million of pension contributions net of ADIT between 13-month average ending June 2025 to 13-month average ending June 2028. Cleco Power made a $16.5 million contribution in January 2025, along with $4.8 million contributions in January 2026 and $3.6 million in April 2026. Cleco Power is required to

make another $10.8 million contribution by January 2027 based on scheduled payments of minimum funding requirements necessary for Cleco Power's pension plan.

Q95: WHAT AMOUNT IS CLECO POWER REQUESTING TO ADD TO RATE BASE FOR ITS PGO MODERNIZATION PROJECT?

A: As shown in Line 16, Cleco Power is requesting to include $16.4 million of the remaining undepreciated balance of the PGO modernization project to rate base, as follows:

Plant in Service	$28.8 (column A)
Accumulated Depreciation	($10.1) (column B)
Accumulated Deferred Income Taxes	($2.3) (column L)
	$16.4

Q96: WHAT IS THE TOTAL RATE BASE AMOUNT THAT CLECO POWER IS REQUESTING BE USED IN DETERMINING BASE RATES?

A: Cleco Power's pro forma adjusted test year rate base is $3,796 million, as shown on Line 17 of Exhibit CCM-10.

XVI. TEST YEAR EXPENSE DETAIL

Q97: PLEASE DISCUSS THE GENERAL CONSTRUCT OF EXHIBIT CCM-11.

A: Line 1 of Exhibit CCM-11 represents the regulatory expenses from Cleco Power's books for the TME June 30, 2025, as filed in Cleco Power's October 2025 Monitoring Report for the TME June 30, 2025. Cleco Power chose the TME June 30, 2025 to begin constructing its test year for two primary reasons. First, it is the time period utilized in Cleco Power's most recent Monitoring Report filed pursuant to its Third Amended and Restated FRP. Second, it was the most recent actual twelve-month period available as of the filing date of Cleco Power's Application in this proceeding.

Line 2 through Line 8 removes expenses that are allowed to be recovered through Rider IICR as stated in the Third Amended and Restated FRP, which I discuss further below. Line 9 removes Energy Efficiency expenses from the test year, as this is collected under a separate surcharge pursuant to LPSC Docket No. R-31106. Line 12 through 16 contains the depreciation and property tax related to the Many Area Transmission, Madison 3 Accelerated Start Up, Coughlin Aerator and Water Well, West Covington Substation, and Nesbitt Generator Stator Rewind projects, respectively. Line 17 contains the amortization cost related to the SAP Upgrade. Line 18 contains the depreciation add-back related to the PGO modernization project. Line 19 contains the payroll increase based on merits and promotions through the pro forma adjusted test year. Line 20 contains the requested add-back of a portion of short-term executive incentive compensation. Line 21 contains the increased SAP maintenance fees included in administrative and general cost. Line 22 contains the increase in taxability of intangible items for sales tax along with the increase in sales tax rate from January 2025 tax reform. Line 23 contains the Cleco Power payroll costs related to employees working on the Cleco Power change of control project and the associated filing that were not included in the test year expense. Line 24 includes the expenses related to the Operating Service Agreement for Cleco Cajun that were not included in the test year for Cleco Power but that should now be included as this agreement has since ended. Lines 25 and 26 contains the movement of Madison 3 Property tax from Rider IICR to base rates for the TME June 30, 2025, along with the recovery of the associated regulatory asset over a four-year period. Line 27 contains the amortization of the Rodemacher 2 regulatory asset over an eight-year period. Line 28 contains the depreciation increase recommended by the Alliance depreciation study. Line 29 contains

the increased amortization due to the shortening of the asset life for Madison 3 regulatory asset. Line 30 contains the expense related to the requested replenishment of the storm reserve. Line 31 contains the cost related to the increase in Retiree Medical subsidy (OPEB). Line 32 contains the cost related to the reclassing of expenses in FERC account 186 for the 2024 Renewable Energy RFP. Line 33 contains the requested amortization for four-year recovery of the 2024 Renewable Energy RFP. Line 34 removes the transmission related expense for Transmission Wheeling that is currently recovered through fuel rates. Line 35 contains the administrative and general expenses related to an increase in Cleco Power's, 401k employer match. Line 36 contains MISO DPP withdrawal costs with a requested recovery over 4 years.

The total test year amounts on Line 37 are those utilized in the cost of service study developed by the Company and shown on Exhibit ATF-1 to the Direct Testimony of Cleco Power witness Austin Finn.

The amounts in the Exhibit CCM-11 are functionalized as they relate to fuel, production, transmission, distribution, customer service, and similar items. The amounts are total Company expenses in the cost of service study, and, as such, do not and should not tie to schedules indicating similar amounts for the retail-only portion of Cleco Power's billings and/or expenses.

Q98: PLEASE EXPLAIN THE REMOVAL OF MISO ADMINISTRATIVE COST COLLECTED IN RIDER IICR ON LINE 2.

A: Line 2 represents the removal of MISO Administrative cost of $5.8 million related to transmission cost from regulatory expense, as this is recovered through Rider IICR.

Q99: PLEASE EXPLAIN THE REMOVAL OF PRODUCTION O&M DEFERRAL ON LINE 3.

A: Line 3 represents Production O&M deferral that is collected through Rider IICR related to depreciation and amortization for $3.9 million.

Q100: PLEASE EXPLAIN THE REMOVAL OF LOUISIANA CORPORATE FRANCHISE TAX ON LINE 4.

A: Line 4 represents the removal of Louisiana Corporate Franchise tax that is collected through Rider IICR for $1.3 million.

Q101: PLEASE EXPLAIN THE REMOVAL OF ROW EXPENSE ON LINE 5.

A: Line 5 represents the removal of ROW expenses that are removed from pro forma adjusted expense related to Transmission for $1.4 million and Distribution for $10.7 million. The Distribution ROW expenses incurred for TME June 30, 2025 that were above the expenses included in the TME June 30, 2025 Rider IICR collection were deferred and will be recognized as expense over the TME June 30, 2026, timeframe as collected in the Rider IICR true-up.

Q102: PLEASE EXPLAIN THE REMOVAL OF MISO TRANSMISSION EXPENSE FOR NORTHLAKE ON LINE 6.

A: Line 6 represents the removal of MISO Transmission expense for Northlake Transmission expense from the pro forma adjusted expense of $12.5 million. The transmission expense for Northlake incurred for TME June 30, 2025 that was above the expenses included in the TME June 2025 Rider IICR collection were deferred and will be recognized as expense over the TME June 30, 2026 timeframe as collected in the Rider IICR true-up.

Q103: PLEASE EXPLAIN THE REMOVAL OF 2024 RATE CASE EXPENSE AMORTIZATION ON LINE 7.

A: Line 7 represents the removal of 2024 Rate Case expense amortization from administrative and general from the pro forma adjusted expense of $0.7 million as it is included in Rider IICR.

Q104: PLEASE DESCRIBE MADISON 3 PROPERTY TAX AMORTIZATION ON LINE 8.

A: Line 8 represents the removal of Madison 3 property tax from the pro forma adjusted expense as this is captured through Rider IICR for the 2024 Rate Case. The property tax amount included on Line 8 in Rider IICR for the TME June 2025 was lower than the amount included for ongoing property tax (Line 25) due to the retail jurisdictional allocation increase resulting from the loss of a major wholesale customer.

Q105: PLEASE EXPLAIN THE REMOVAL OF ENERGY EFFICIENCY EXPENSE ON LINE 9.

A: The Energy Efficiency expense is removed from the test year TME June 30, 2025, in Column E as this expense is recovered through a separate energy efficiency surcharge pursuant to LPSC Docket No. R-31106.

Q106: PLEASE EXPLAIN THE ADDITION ON LINE 12 FOR THE MANY AREA TRANSMISSION.

A: Line 12 adds $0.7 million, as shown in Column G, of depreciation expense and $0.5 million, as shown in Column H, of property tax expense to be accounted for in the pro forma expense for the Many Area Transmission project that was completed June 2025 and not included in the test year.

Q107: PLEASE EXPLAIN THE ADDITION ON LINE 13 FOR THE MADISON 3 ACCELERATED START UP PROJECT.

A: Line 13 adds $3.0 million, as shown in column G, of depreciation expense and $0.4 million, as shown in column H, of property tax expense to be accounted for in the pro forma expense for cost associated with the accelerated start-up time project that is expected to be completed by May 2027.

Q108: PLEASE EXPLAIN THE ADDITION OF THE COUGHLIN AERATOR AND WATER WELL ON LINE 14.

A: Line 14 adds $0.6 million, as shown in column G, of depreciation expense and $0.1 million, as shown in column H, of property tax expense to be accounted for in the pro forma expense for the Coughlin Aerator and Water Well project, which is expected to be completed by November 2026.

Q109: PLEASE EXPLAIN THE ADDITION OF THE WEST COVINGTON SUBSTATION ON LINE 15.

A: Line 15 adds $0.6 million, as shown in Column G, of depreciation expense and $0.4 million as shown in column H, of property tax expense to be accounted for in the pro forma expense for the West Covington Substation that is expected to be completed by May 2027.

Q110: PLEASE EXPLAIN THE ADDITION OF NESBITT GENERATOR STATOR REWIND ON LINE 16.

A: Line 16 adds $1.8 million, as shown in Column G, of depreciation expense and $0.2 million as shown in column H, of property tax expense to be accounted for in the pro forma expense for the Nesbitt Generator Stator Rewind that is expected to be completed by December 2026.

Q111: PLEASE EXPLAIN THE ADDITION OF SAP UPGRADE AMORTIZATION ON LINE 17?

A: Line 17 represents amortization of the prepaid expense of $2.6 million for SAP upgrade prepaid expense. The $31.2 million SAP upgrade is expected to be completed by June 2026 and Cleco Power is requesting to amortize this prepaid expense over twelve years.

Q112: PLEASE EXPLAIN THE PGO MODERNIZATION PROJECT DEPRECIATION EXPENSE ON LINE 18.

A: Line 18 represents the depreciation expense of $1.0 million that Cleco Power is requesting to be included in expense. Cleco Power removed this expense from the FRP Monitoring Reports for the years 2014 through 2027 based on the settlement in LPSC Docket U-32779. Consistent with my earlier testimony, Cleco Power is requesting the depreciation expense be included in setting base rates as the costs for the PGO modernization project were prudently incurred and should not have been excluded from recovery.

Q113: PLEASE EXPLAIN THE ADDITION OF PAYROLL AND BENEFIT ADJUSTMENTS MADE ON LINE 19.

A: Line 19 for Cleco Power, payroll costs, are projected to increase in the test year primarily due to additional payroll merits and promotions of $12.5 million from test 2025 to the first year of rate implementation (the TME June 30, 2028). As there will be three years between the test year and first year of rate implementation, then accordingly there should be three years of payroll merits and promotions included. These costs are further broken down by function as follows:

Other Production	$4.2 (Column B)
Transmission	$0.9 (Column C)
Distribution	$2.2 (Column D)
Customer Accounting, Info. & Sales	$1.4 (Column E)
Administrative & General	$3.8 (Column F)

Q114: PLEASE EXPLAIN THE ADJUSTMENT TO INCLUDE VICE PRESIDENT AND ABOVE NON-FINANCIAL PORTION OF STIP COMPENSATION IN LINE 20.

A: Line 20 reflects Cleco Power's proposal to recover $2.7 million of the non-financial portion of executive short-term incentive compensation as discussed more fully in the Direct Testimony of Mr. Owens.

Q115: WHY IS CLECO POWER REQUESTING TO ADD INCREASE FOR SOFTWARE MAINTENANCE ON LINE 21?

A: The $3.2 million software maintenance increase in line 21 column F, is an increase from test year and based on signed multi-year contracts for SAP maintenance and support. These SAP maintenance agreements are necessary and are more fully discussed in the Direct Testimony of Cleco Power witness Brian Walker.

Q116: PLEASE DESCRIBE WHY CLECO POWER IS REQUESTING TO ADD INCREASES OF SALES TAX?

A: In January 2025, tax reforms enacted by the Louisiana Legislature increased the sales and use tax rate from 4.45% to 5%. Such tax reform also expanded the sales tax to include all digital products such as software. The total increase in sales tax from the test year TME June 30, 2025, requested is $1.9 million. The tax reforms were enacted pursuant to Act 11 of the 2024 Third Extraordinary Sessions. Please see Exhibit CCM-12.

Q117: PLEASE DESCRIBE LINE 23 THAT IS ADDING PAYROLL DUE TO THE CHANGE OF CONTROL.

A: Line 23 column F refers to administrative and general expenses which, under normal circumstances, would be classified as part of Cleco Power's O&M expenses; however, these expenditures pertain specifically to activities associated with the pending change in control described earlier in my testimony. These costs were a result of employees working on Cleco Power's change of control project and the associated filing. Payroll for the change of control was charged to Cleco Corporate Holdings LLC and therefore, not included in the test-year. These activities were nonrecurring and this portion of employee time and expense will not be diverted from Cleco Power in future time periods. Failure to recognize this fact would understate Cleco Power's ongoing expenses.

Q118: PLEASE DESCRIBE LINE 24 THAT INCLUDES AN INCREASE FROM THE CONCLUSION OF THE OPERATING SERVICE AGREEMENT TO CLECO CAJUN.

A: For the TME June 30, 2025, Cleco Power billed $4.1 million to Cleco Cajun for the Operating Service Agreement ("OSA") and Transition Service Agreement ("TSA"). The OSA and TSA have now ended and Cleco Power is requesting that these costs be added back to the pro forma test year as these costs will be ongoing. The TSA ended October 31, 2024, and the OSA ended October 7, 2025.

Q119: PLEASE DESCRIBE LINE 25 THAT INCLUDED MADISON 3 PROPERTY TAX FOR TME JUNE 2025

A: Line 25 represents the amount accrued for Madison 3 property taxes for the TME June 30, 2025. Cleco Power is requesting that the Madison 3 property tax be removed from Rider

IICR and included in base rates. The amount on Line 25 is larger than the amount on Line 8 due to a higher jurisdictional amount after loss of a major wholesale customer.

Q120: PLEASE DESCRIBE LINE 26 THAT INCLUDED MADISON 3 PROPERTY TAX REGULATORY ASSET RECOVERY OVER 4 YEARS.

A: Line 26 represents the amortization expense of the $14.9 million Madison 3 property tax regulatory asset over a four-year period, which amounts to $3.7 million. The initial Madison 3 property tax amounts for January through December 2020 was accrued to a regulatory asset and was not recovered until July 2021 through Rider IICR. Due to this lag, the regulatory asset for the Madison 3 property tax has contained 18 months of property tax accruals. With Cleco Power's request to move the Madison 3 property tax from Rider IICR to base rates, Cleco Power is requesting to recover the lag on this regulatory asset over a four-year period.

Estimated Madison 3 Property Tax paid December 2023 collected 12 ME 6/25 in Rider IICR	$	8,599
Madison 3 Property Tax paid December 2024 and deferred to a regulatory asset	$	9,487
Madison 3 Property Tax accrual Jan 2025 - June 2025 deferred to a regulatory asset	$	4,987
Carrying charge and regulatory asset adjustments - over/under collections	$	438
Total Regulatory Asset balance at June 2025	$	14,912
Request recovery of this over 4 years (term of FRP)	$	3,728

Q121: PLEASE DESCRIBE LINE 27 FOR THE RECOVERY OF RODEMACHER 2 REGULATORY ASSET.

A: As discussed earlier, the Rodemacher 2 unit is now expected to be retired in 2035 and is expected to have a $53.0 million regulatory asset related to the accelerated depreciation by December 2027. As such, Cleco Power is requesting to recover the accelerated depreciation of $6.6 million annually over an eight-year period to avoid any stranded costs.

As discussed more fully in Mr. Kennedy's Direct Testimony, Rodemacher 2 has been removed from the depreciation study as the accelerated depreciation will have Rodemacher 2 fully depreciated by the end of 2027.

Q122: PLEASE DESCRIBE LINE 28 FOR THE RECOVERY OF DEPRECIATION EXPENSES BASED ON UPDATED RATES FROM THE DEPRECIATION STUDY.

A: Line 28 shows the $35.7 million increase in depreciation rates resulting from the Alliance depreciation study conducted for Cleco Power, as discussed more fully in Mr. Kennedy's Direct Testimony. This amount does not include Rodemacher 2, but does include the accelerated depreciation of Madison 3 as the unit is expected to be retired in 2038.

Q123: PLEASE EXPLAIN WHY CLECO POWER IS INCLUDING THE ACCELERATED AMORTIZATION OF THE MADISON 3 REGULATORY ASSET.

A: Line 29 represents an increase of $0.3 million due to the accelerated amortization of the Madison 3 regulatory asset. The Madison 3 regulatory asset for training costs amortization of $0.1 million assumes a final retirement date of 2060. Cleco Power is requesting to amortize the training cost regulatory asset assuming a retirement date of 2038 due to U.S. EPA compliance issues, which amounts to an increase of $0.3 million in amortization.

Q124: PLEASE EXPLAIN LINE 30 THAT INCLUDES THE ADDITION OF THE STORM RESERVE REPLENISHMENT IN BASE RATES.

A: As discussed above, Cleco Power is requesting an additional $10.0 million annually to replenish the funded restricted storm reserve established pursuant to LPSC Order No. U-35807.

Q125: PLEASE EXPLAIN LINE 31 FOR THE INCREASE IN RETIREE MEDICAL SUBSIDY OTHER POST-RETIREMENT EMPLOYEE BENEFIT ("OPEB").

A: Line 31 represents the increase in retiree medical subsidy OPEB of $0.4 million that was implemented in January 2026. Cleco Power increased the subsidy for retiree medical plans as the increase in premiums from the insurer increased in order to prevent dramatic increases in pre-65 retiree premiums. Given that the subsidy has not been increased throughout the years and given a desire not to overwhelm current retirees with a dramatic premium increase, management decided the Company should absorb a portion of the cost increase.

Q126: PLEASE EXPLAIN LINE 32 FOR THE RECLASSIFICATION OF EXPENSES RELATED TO THE 2024 RENEWABLE ENERGY RFP.

A: Line 32 represents the reclassification of expenses related to the 2024 Renewable Energy RFP. Approximately $0.6 million of legal fees related to the 2024 Renewable Energy RFP were inadvertently included in the FERC 923 expense account for test year TME June 30, 2025, and later reclassified to the FERC 186 account.

Q127: PLEASE EXPLAIN LINE 33 REQUEST FOR THE RECOVERY OF THE 2024 RENEWABLE ENERGY RFP OVER A FOUR-YEAR PERIOD.

A: Line 33 represents Cleco Power's request to recover the $0.9 million of the 2024 Renewable Energy RFP[17] costs over a four-year period through base rates, which amounts to approximately $0.2 million per year.

[17] LPSC Docket No. X-37469, Cleco Power LLC, ex parte. *In re: Informational Filing Containing Final 2024 Request for Proposals for Renewable Energy Resources.*

Q128: PLEASE EXPLAIN LINE 34 THAT IS REMOVING TRANSMISSION WHEELING FROM EXPENSE.

A: The transmission expense amount on Line 1 of $36.3 million included the transmission wheeling costs of $1.8 million that is collected through the fuel adjustment clause. Line 34 of the pro forma removes $1.8 million from expenses for setting base rates. The FRP Monitoring Report filed October 31, 2025, included all revenues and expenses, including both fuel revenues and expenses.

Q129: PLEASE EXPLAIN LINE 35 THAT SHOWS AN INCREASE IN CLECO POWER'S 401(K) EMPLOYER MATCH.

A: Line 35 shows an additional administration and general expense of $0.9 million. This results from Cleco Power increasing its employer 401(k) matching contributions from 6% to 7% for non-pension employees to remain competitive within the industry.

Q130: PLEASE EXPLAIN LINE 36 THAT ADDS MISO DPP WITHDRAWAL COST RECOVERY OVER 4 YEARS.

A: Line 36 reflects the recovery of approximately $4.1 million over four years associated with Cleco Power's withdrawal from the MISO DPP. As discussed above, these costs were incurred as a result of the Company's participation in MISO's generator interconnection and planning processes, which are used to evaluate long-term resource adequacy and transmission system impacts. Cleco Power proposes to recover these costs through base rates over a four-year period. Amortizing the costs over four years mitigates rate impacts while appropriately aligning recovery with the ongoing benefits customers receive from the Company's prudent planning activities, including the avoidance of significantly higher costs that would have been incurred had the project advanced further.

XVII. IMPLEMENTATION

Q131: WHEN WOULD THE PROPOSED RATES BECOME EFFECTIVE?

A: Cleco Power is proposing that all rate changes become effective upon the first billing cycle beginning July 1, 2027.

Q132: DOES THIS CONCLUDE YOUR TESTIMONY?

A: Yes, at this time.

STATE OF LOUISIANA

PARISH OF RAPIDES

AFFIDAVIT

BE IT KNOWN, that before me, the undersigned Notary Public, duly commissioned and qualified for the state and parish/county aforesaid, personally came and appeared:

CHRISTINA C. MCDOWELL

("Affiant"), who after being duly sworn did depose and say:

1. Affiant has prepared Direct Testimony on behalf of Cleco Power LLC in support of the Application of Cleco Power LLC for: (1) Implementation of Changes in Rates to be Effective July 1, 2027; (2) New 2027 Formula Rate Plan; and (3) Expedited Treatment.

2. To the best of Affiant's knowledge, information, and belief, Affiant's Direct Testimony is true, accurate, and complete in all material respects as of the date of this Affidavit.

Christina C. McDowell

Christina C. McDowell
Cleco Power LLC
2030 Donahue Ferry Road
Pineville, LA 71360

SWORN TO AND SUBSCRIBED
BEFORE ME, NOTARY PUBLIC,
THIS 10th DAY OF JUNE 2026.

Catina L. Ivey

NOTARY PUBLIC
BAR ROLL/NOTARY ID NO.: 51231
MY COMMISSION EXPIRES: at death

CATINA L. IVEY NOTARY PUBLIC COMMISSIONED FOR LIFE NOTARY ID NO. 51231 RAPIDES PARISH PARISH, LA